NANYANG TECHNOLOGICAL UNIVERSITY SINGAPORE

Week 2 – International Trade and Shipping





Prepared by Dr. Kelvin Pang

20 August 2026

Learning Objectives

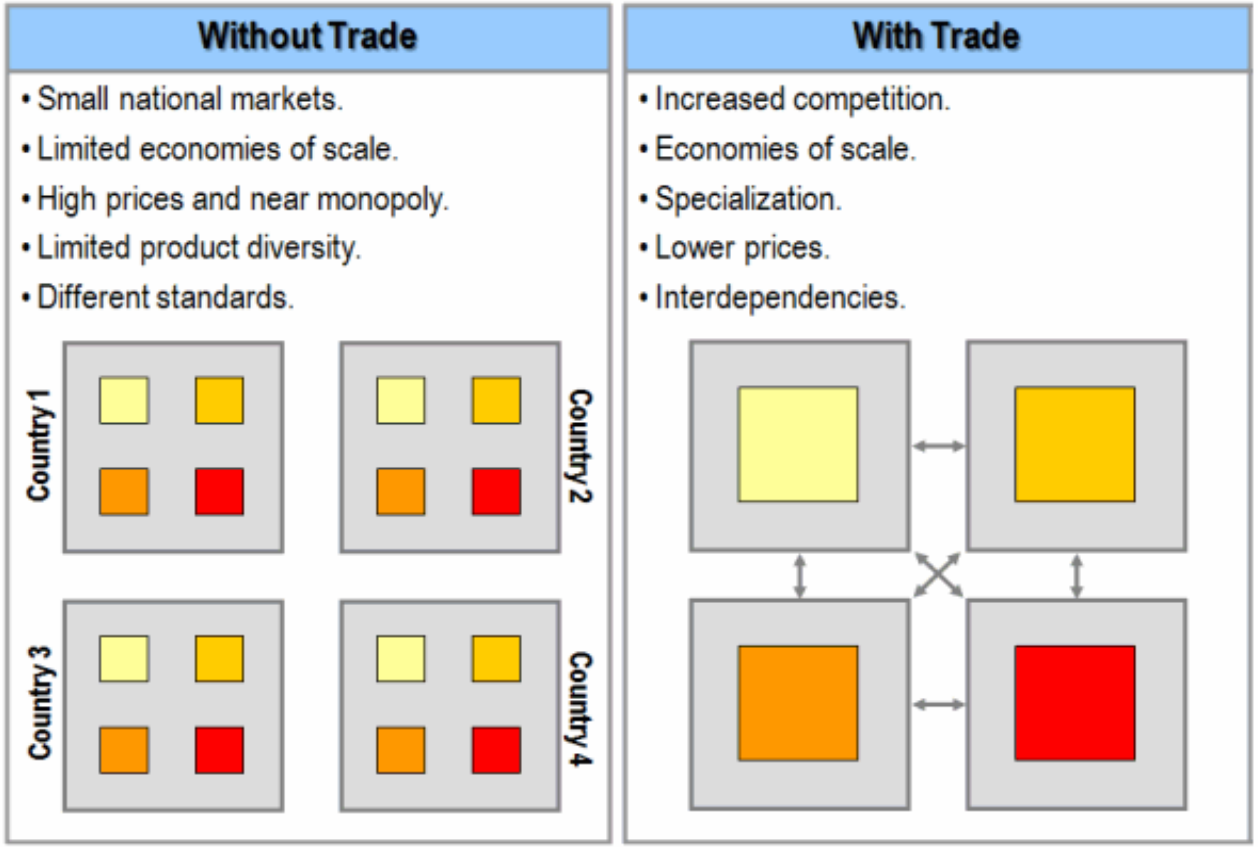
1. Define international trade.
2. Explain the rational behind international trade.
3. Compare and contrast different trade theories.
4. Discuss the link between international trade and shipping.

Learning Objectives

5. Discuss the economic impacts of international trade on shipping and logistics.
6. Discuss the political impacts of international trade on shipping and logistics.

1. Introduction

1.1 What is International Trade



1.1 What is International Trade

LO1

"International trade is concerned with exchanging _____ or _____ between _____"

1. **Carried out between two or more countries** – subjected to political, social, economic and environmental policies introduced by nations from time to time.

2. **Involves different _____** and affects the balance of trade of the countries involved – may produce a favourable result in some countries but is unfavourable to others.


SINGAPORE'S
INTERNATIONAL
TRADE
BANK

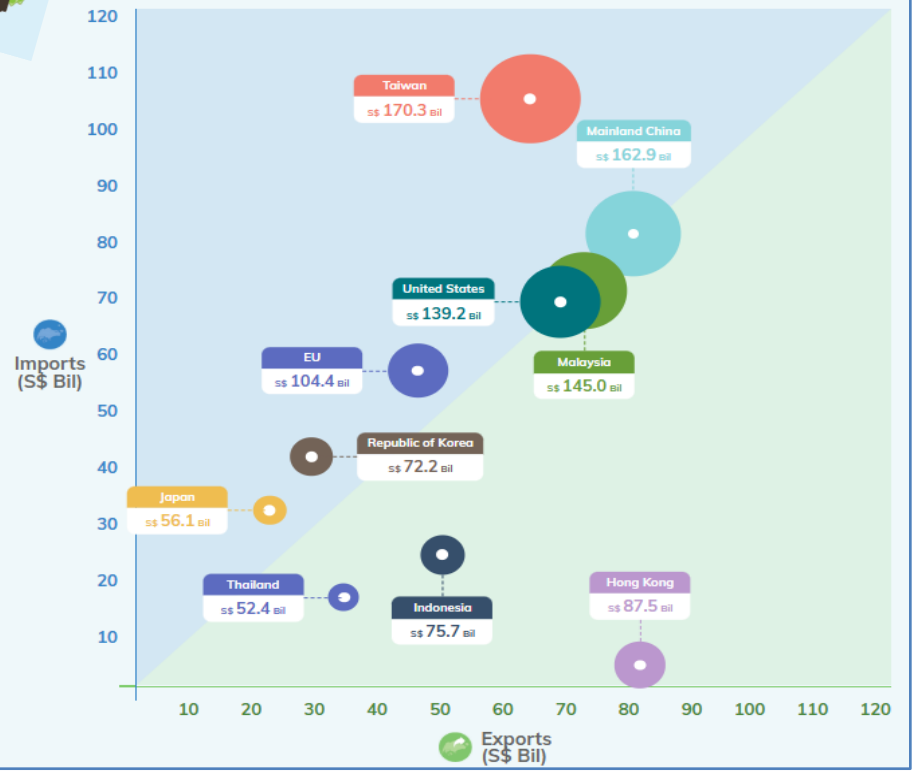
1.2 Singapore's International Trade

TOTAL MERCHANDISE TRADE AT CURRENT PRICES, 2021 - 2025



Exports	S$ 739.4 Bil	Total in 2025 S$ 1,397.7 Bil
Imports	S$ 658.3 Bil	
Exports	S$ 674.5 Bil	Total in 2024 S$ 1,285.9 Bil
Imports	S$ 611.4 Bil	
Exports	S$ 638.4 Bil	Total in 2023 S$ 1,205.7 Bil
Imports	S$ 567.3 Bil	
Exports	S$ 710.0 Bil	Total in 2022 S$ 1,365.4 Bil
Imports	S$ 655.4 Bil	
Exports	S$ 614.1 Bil	Total in 2021 S$ 1,160.0 Bil
Imports	S$ 545.9 Bil	

MERCHANDISE TRADE PERFORMANCE WITH MAJOR TRADING PARTNERS, 2025



Review Questions

1. **Which of the following commodity sections contributed the most, in terms of value, to Singapore's non-oil domestic exports in 2024?**

a) Machinery & Transport Equipment

b) Food & Live Animals

c) Chemicals & Chemical Products

d) Manufactured Goods

Answer:

1.3 Why International Trade

LO2

i. Growing demand in _____

- foreign companies recognise the opportunities in growing markets (E.g., *Vietnam*) and expand to sell their products in new markets (E.g., *Latin America*).

ii. Demand for _____ products

- demand for new products that cannot be supplied by domestic companies.

iii. Removal of _____

- more free trade → more products moved.

1.3 Why International Trade

iv. Differences in _____

- influenced by costs associated with labour, technology, volume of production, transportation, material and land.

E.g., *products manufactured in low-cost countries - Vietnam, Bangladesh etc.*

v. Products/resources can only be utilised where they are found

E.g., *oil, diamond, iron ore, coal*

1.3 Why International Trade



vi. Changing practices in shipping logistics

- containerisation made movement of goods easier, cheaper and more reliable.

vii. Improved _____ in business

- developments in information systems and internet.

E.g., *Internet of Things (IoT), Augmented Reality (AR), Artificial Intelligence (AI)*.

1.3 Why International Trade

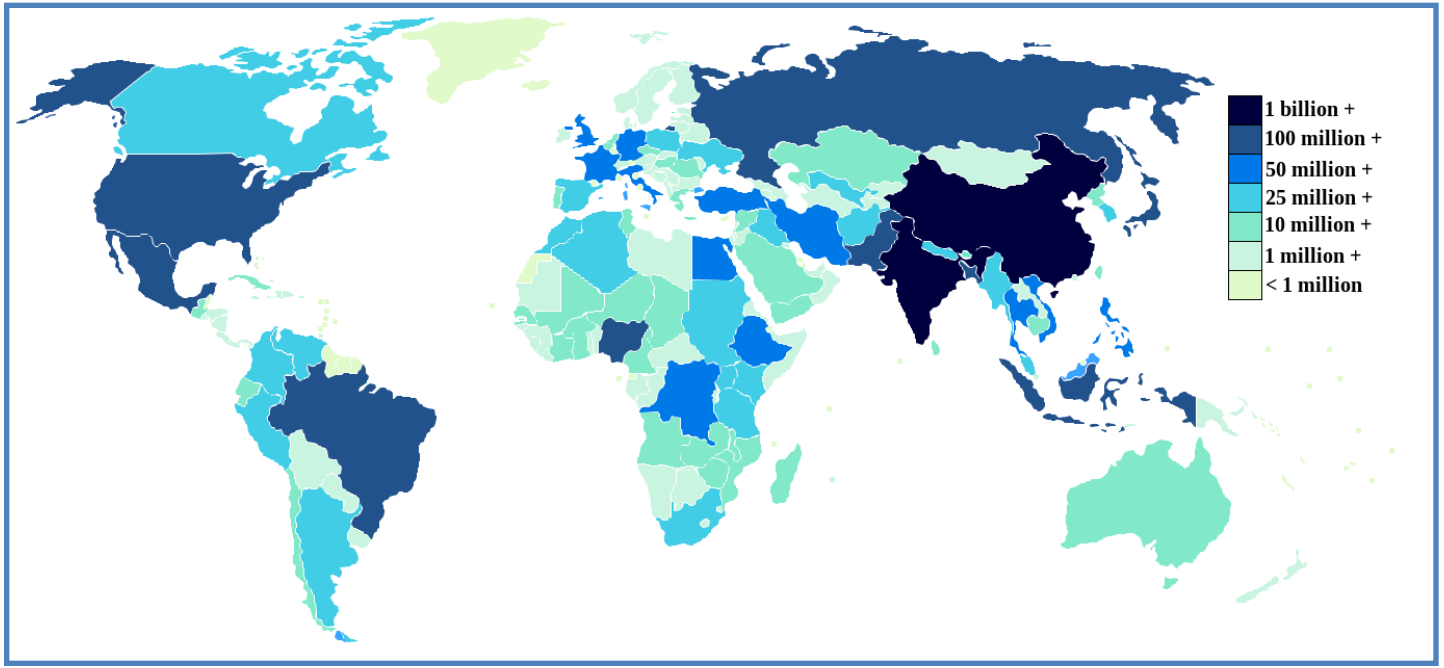
viii. Cater to **differences in _____, _____ and _____** of customers in different countries.

E.g., *(i) culture differences in consumer goods, clothing and foodstuff (ii) seasonal differences (summer and winter)*



1.4 International Marketplace

- **Market size** – over 7.95 billion people (1.42 billion people in China and 1.41 billion people in India).




0
500,000,000
1,000,000,000
1,500,000,000
1,670,491,000
1,312,636,000
377,460,000
375,392,000
367,808,000
317,225,000
230,886,000
217,494,000
214,812,000
203,905,000
World Population Day:
What will the world look like in 2050?

LO3

2. International Trade Theories

International Trade Theories

Classical or Country-Based Trade Theories

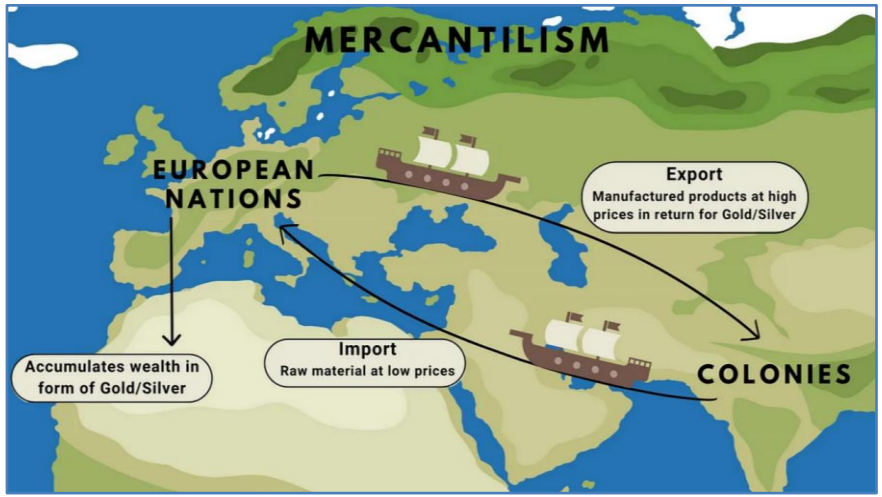
- Mercantilism
- Absolute Advantage
- Comparative Advantage
- Heckscher-Ohlin

Modern or Firm-Based Trade Theories

- Country Similarity
- Product Life Cycle
- Global Strategic Rivalry
- Porter's National Competitive

2.1 Mercantilism

- A country's wealth determined by **amount of its gold and silver holdings**.
- Mercantilists believed that a country should increase its holdings of gold and silver by promoting exports and discouraging imports.

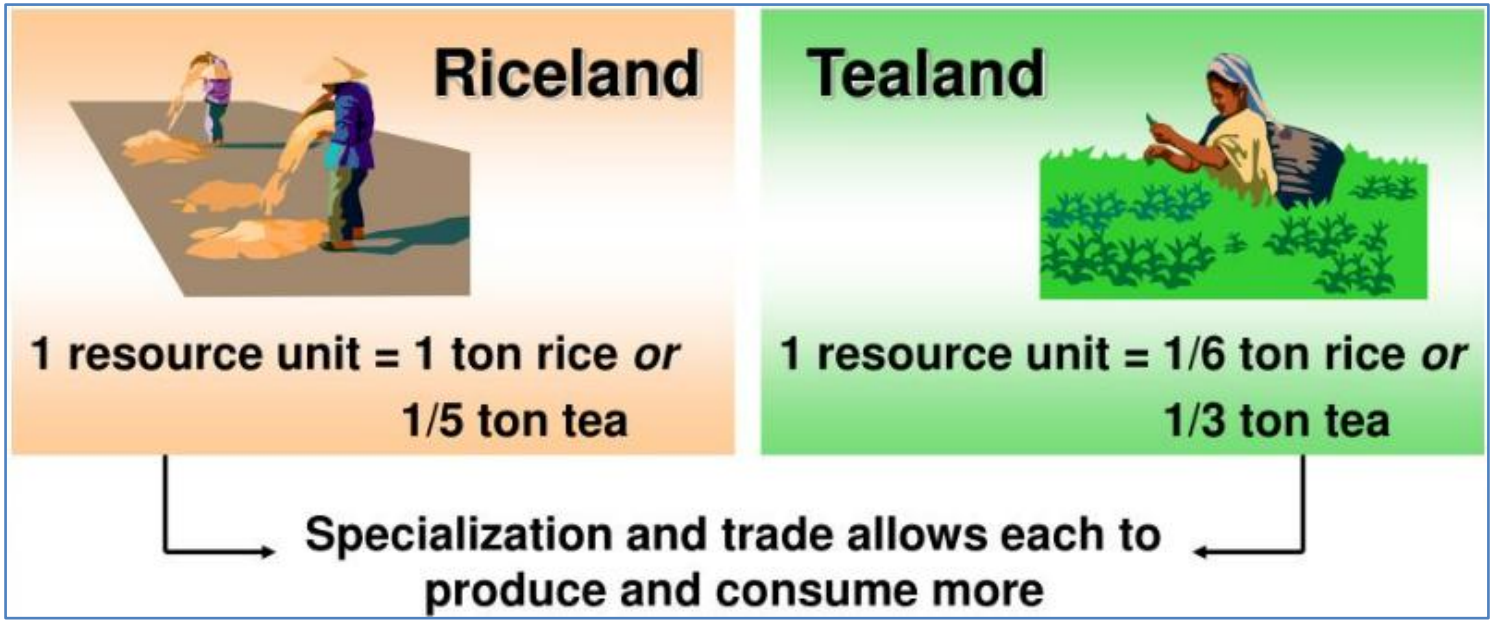


2.1 Mercantilism

- Objective of each country was to have a trade _____ (value of exports are greater than value of imports) and to avoid trade _____.
- Still prevalent in many economies today.
- One way today is to impose restrictions on imports – _____.

2.2 Absolute Advantage

- Ability of a nation to produce a good more efficiently than any other nation (greater output using same or fewer resources).



2.2 Absolute Advantage

Examples

1. Easier to extract oil in Saudi Arabia than in any other country. Abundance of oil makes it easier to drill for oil whereas other countries involves exploration and drilling cost.

2. Columbia has climatic advantage of producing coffee.

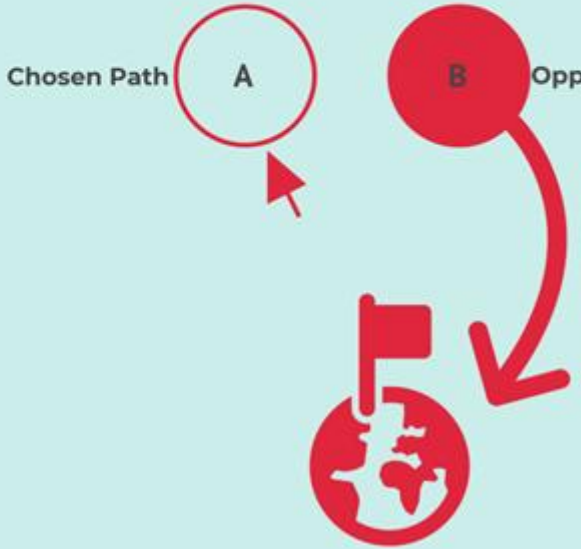
2.2 Absolute Advantage

- Trade shouldn't be regulated by government policy or intervention – determined by market forces.
- By specialization, countries generate efficiencies because their labour force would become more skilled by doing the same tasks.
- A nation's wealth shouldn't be judged by amount of gold/silver but rather the living standards of its people.

2.3 Comparative Advantage

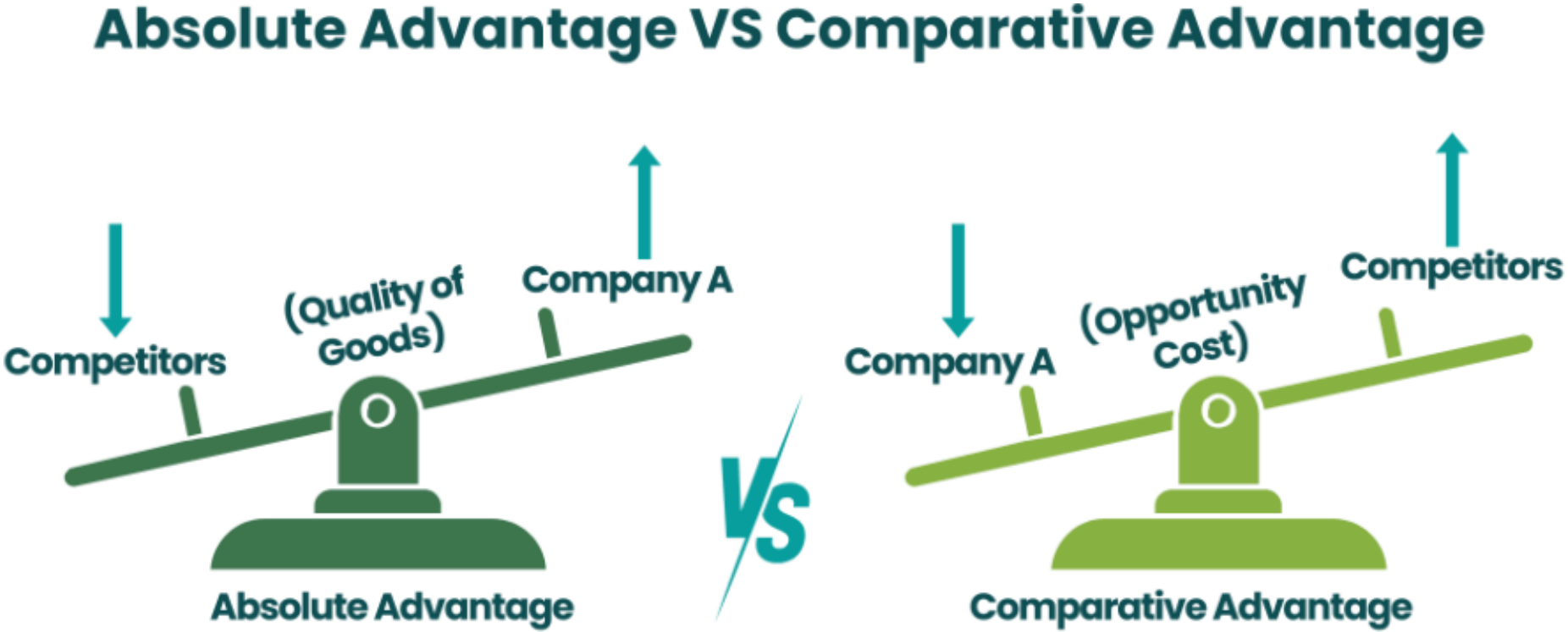
The Comparative Advantage In A Nutshell

Comparative advantage was first described by political economist David Ricardo in his book Principles of Political Economy and Taxation. Ricardo used his theory to argue against Great Britain's protectionist laws which restricted the import of wheat from 1815 to 1846. Comparative advantage occurs when a country can produce a good or service for a lower opportunity cost than another country.



In the context of comparative advantage, the opportunity cost for a nation is the cost required to produce a good or service. The nation with the lowest opportunity cost, or the one able to produce a good or service for the lowest price, is the nation holding a comparative advantage.

Comparison between Absolute and Comparative Advantage



Comparison between Absolute and Comparative Advantage

#1. Definition

Absolute Advantage



The ability of a country to produce more goods with the same amount of resources than another country.

Comparative Advantage



The ability of the country to produce good better than another country with the same amount of resources.

#2. Benefits

Absolute Advantage



1. Trade is not mutually beneficial
2. Benefits the Country with absolute advantage

Comparative Advantage



1. Trade is mutually beneficial
2. Benefits of both the countries

Comparison between Absolute and Comparative Advantage

#3. Cost

Absolute Advantage



The absolute cost of producing goods impacts if the country has an absolute advantage.

Comparative Advantage



The opportunity cost of producing goods impact the Country's comparative advantage.

#4. Economic nature

Absolute Advantage



It is not mutual and reciprocal.

Comparative Advantage



It is mutual and reciprocal.

2.4 Heckscher-Ohlin

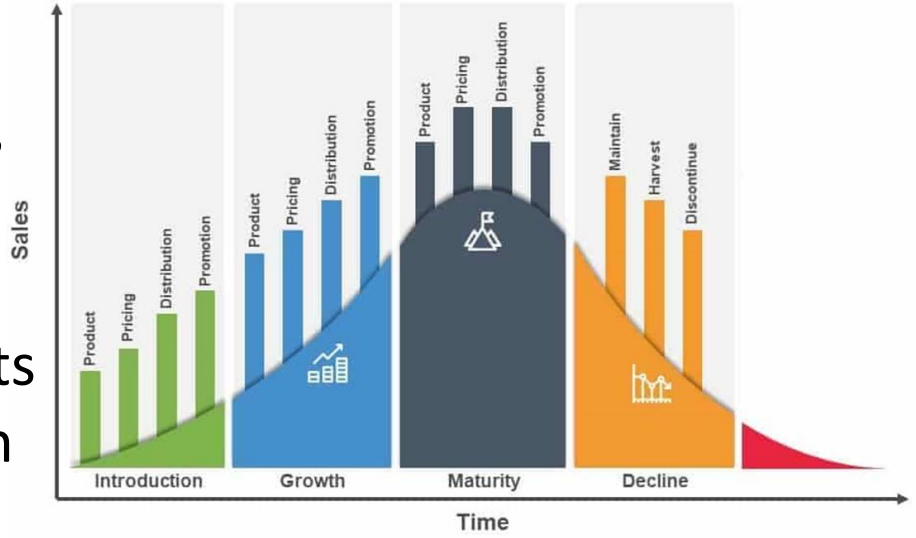
- Focused their attention on how a country could gain comparative advantage by producing products that utilized factors that were in abundance in the country.
- Factors (e.g., *land, labour and capital*) that were in great supply relative to demand would be cheaper.
  E.g., *China and India – optimal locations for labour-intensive industries like garments*.

2.5 Country Similarity

- Countries tend to trade more with other countries that are similar in terms of culture, language, geography and economic development.
- Countries with similarities more likely to have similar demand patterns and preferences for goods and services.
- Criticised for oversimplifying complex factors that influence international trade patterns.

2.6 Product Life Cycle

- A product goes through three stages:
- During _____, product is produced in the country where it was invented.
- As product _____, production shifts to countries with lower production costs.
- At _____ stage, production shifts to countries where product can be produced most efficiently.



2.7 Global Strategic Rivalry

- Focuses on MNCs and their ability to gain competitive advantage against other global firms in their industry.
- Critical ways that firms can obtain sustainable competitive advantages are called barriers to entry for that industry.



2.8 Porter's National Competitive Advantage

- A nation's competitiveness in an industry depends on the capacity of the industry to innovate and upgrade.
- Porter's theory focused on explaining why some nations are more competitive in certain industries.



2.8 Porter's National Competitive Advantage

Local market resources and capabilities (factor conditions)

- A nation's resources (e.g. *natural resources and available labour*) as key factors in determining what products a country will import or export.
- Other advanced factors include – skilled labour, investments in education, technology and infrastructure.

2.8 Porter's National Competitive Advantage

Local market demand conditions

- A sophisticated home market critical to ensuring ongoing innovation > creating sustainable competitive advantage.

  E.g. *Silicon Valley in US – global centre of technological innovation*.

2.8 Porter's National Competitive Advantage

#Local suppliers and complementary industries

- To remain competitive, large global firms benefit from strong, efficient supporting and related industries.

#Local firm characteristics

- Include firm strategy, industry structure, and industry rivalry.
- Healthy rivalry between local firms will spur innovation and competitiveness.

Review Question

- Which of the following **DO NOT** belong to the classical theories?

a. Absolute advantage

b. Mercantilism

c. Country Similarity

d. Heckscher-Ohlin

Answer:

Review Question

- "**Factor and Demand Conditions**" are factors in which international trade model?

a. Porter's National Competitive Advantage

b. Country Similarity

c. Comparative Advantage

d. Product Life Cycle

Answer:

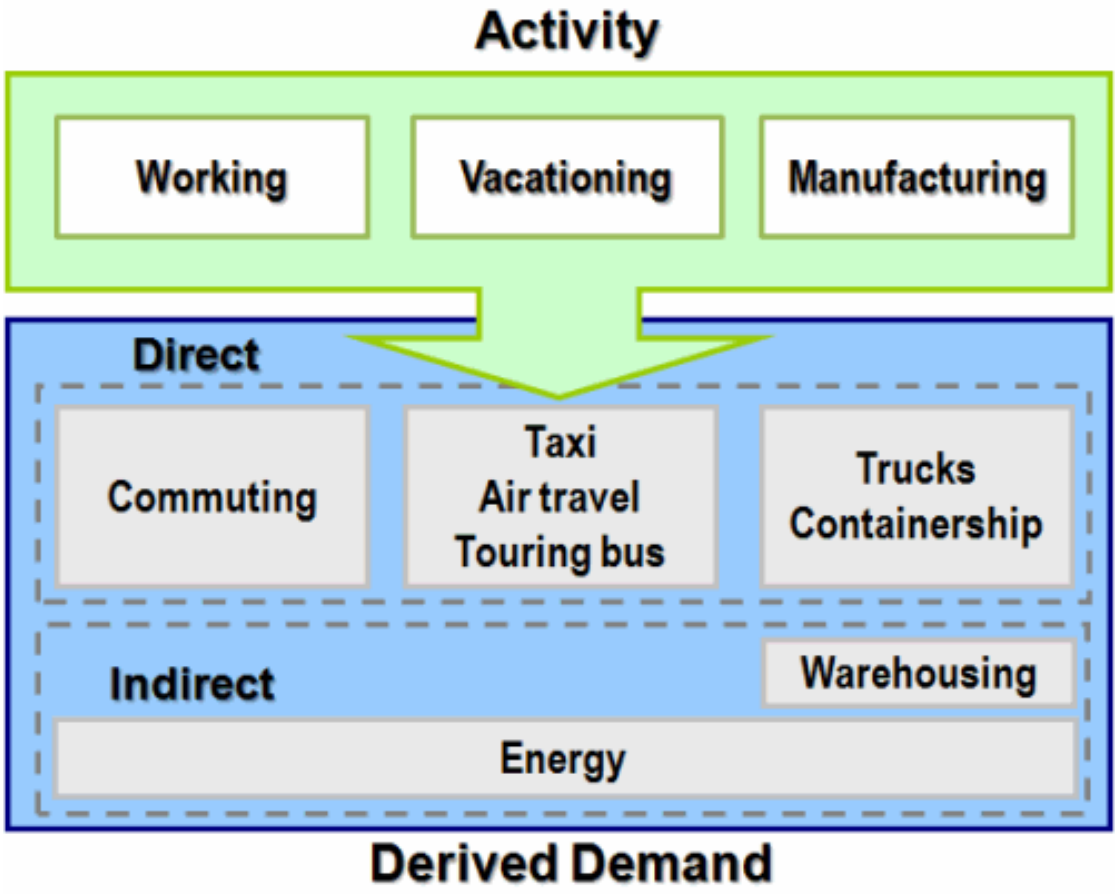
LO4

3. International Trade and Shipping

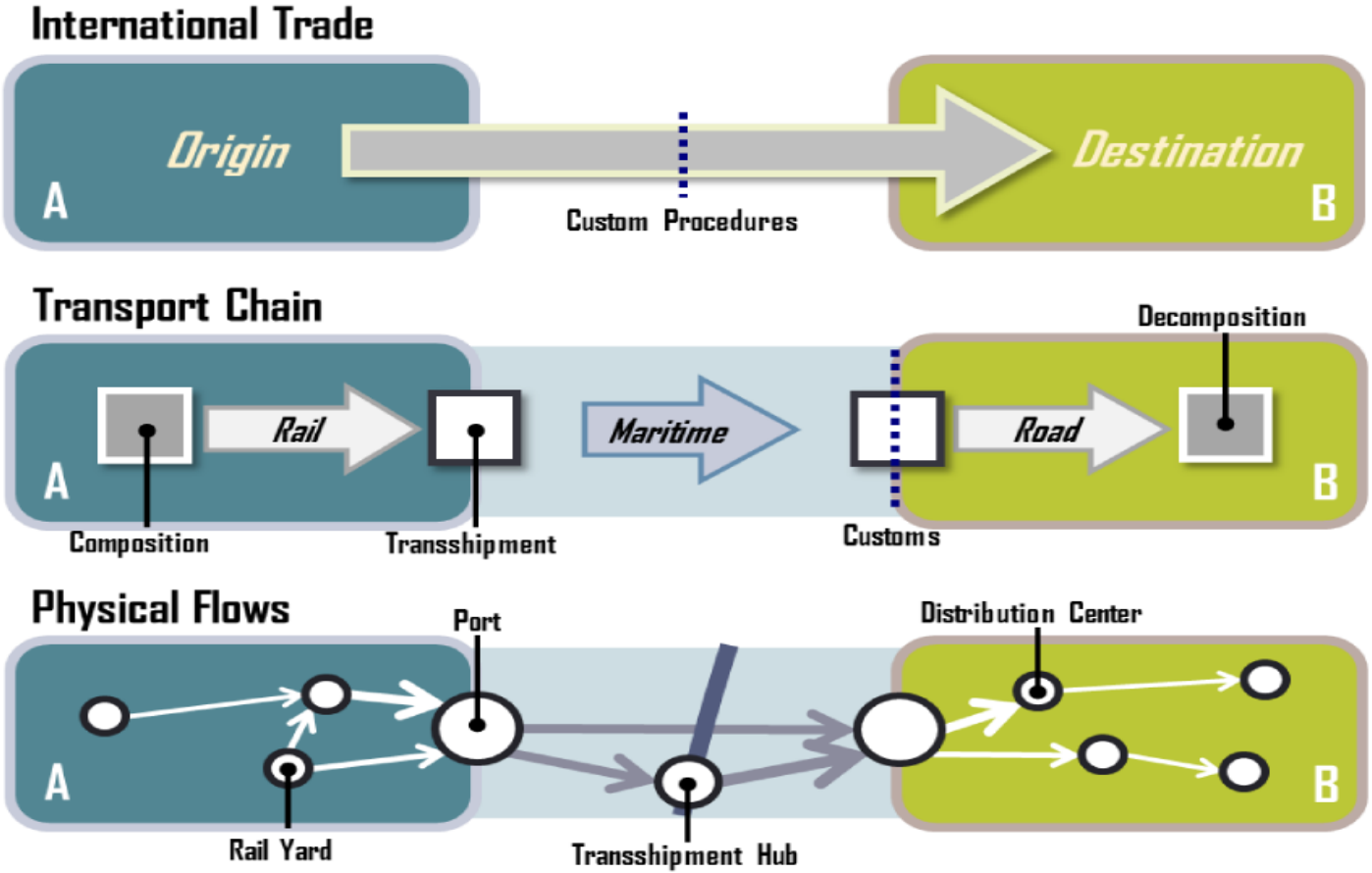
3. International Trade and Shipping

- **Demand** reflects a consumer's willingness to pay a certain price to obtain a product or service.
- **Supply** is the market's response to that demand by offering the product or service at the agreed price.
- Without demand, there is no incentive to provide maritime transport service.
- Demand for maritime transport is a **derived demand** – stems for trade.

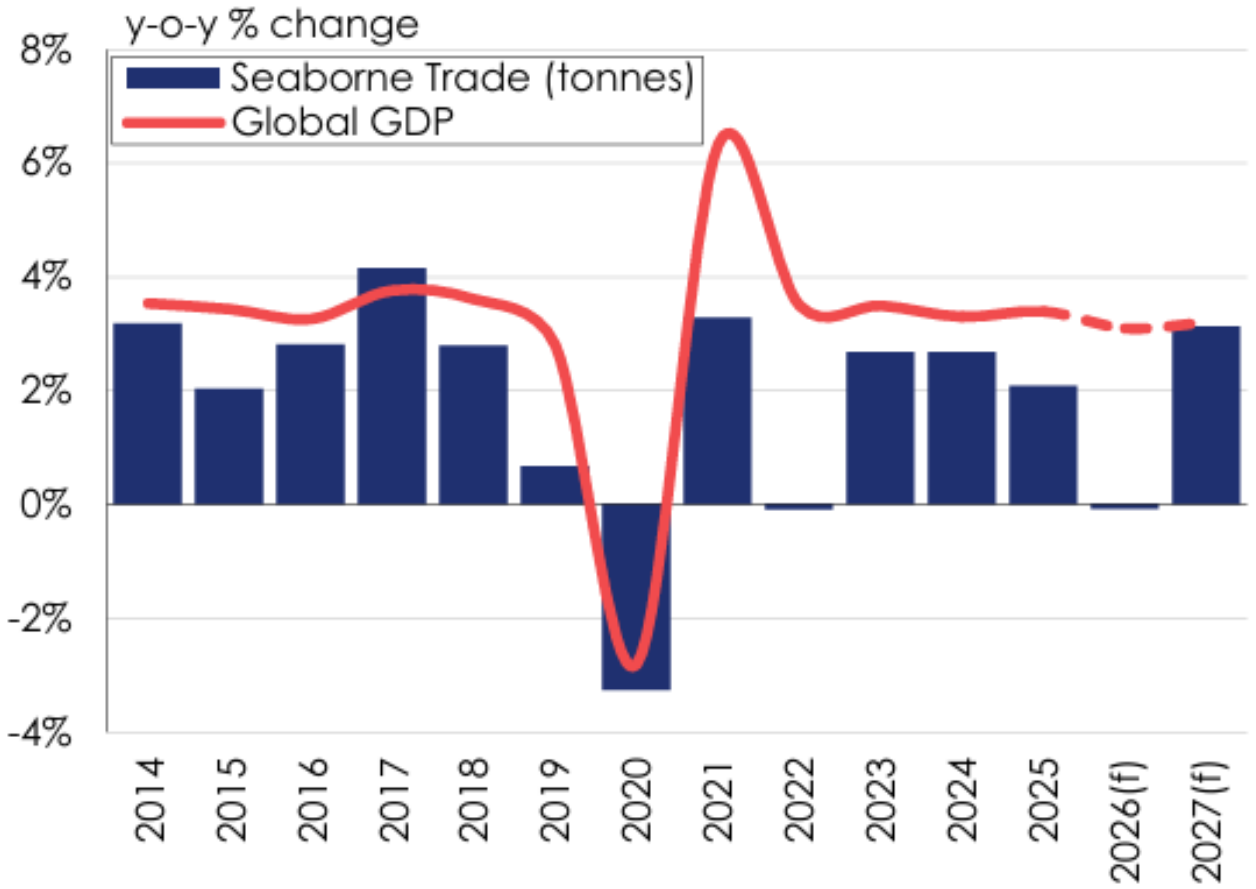
3. International Trade and Shipping



3. International Trade and Shipping

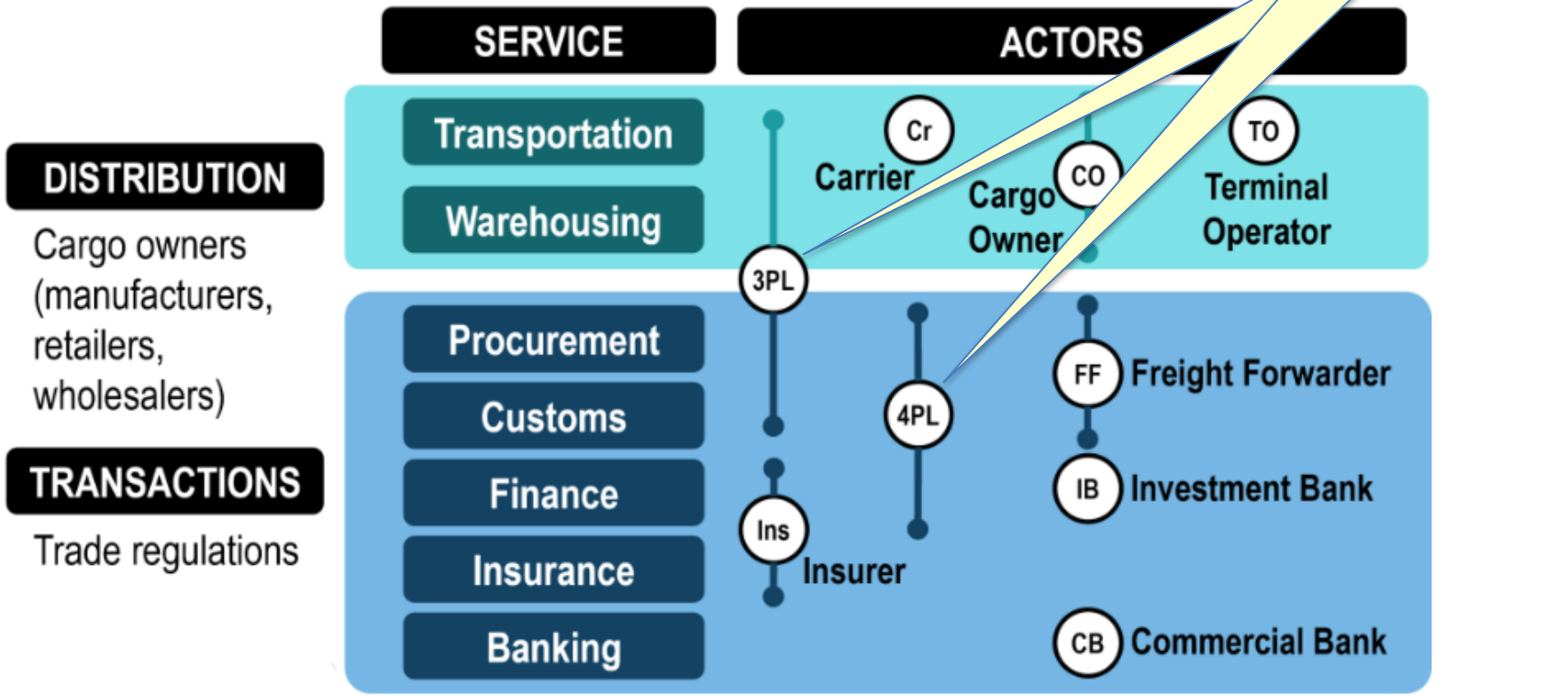


3. International Trade and Shipping



3. International Trade and Shipping

- **Services supporting international trade**



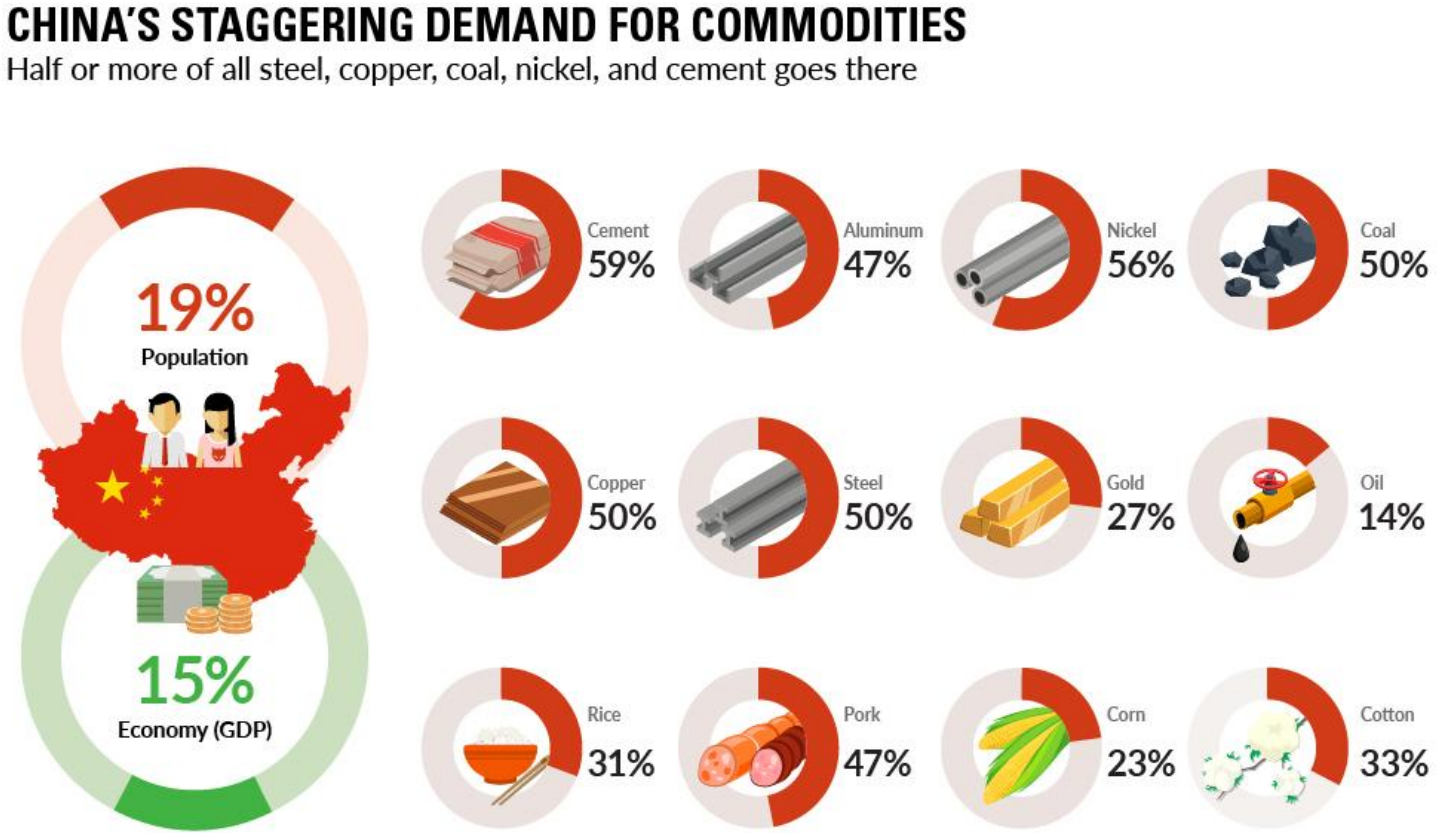
3.1 International Trade Flows

Top 10 Largest Importing Countries in 2025					
Rank	**Country**	**Import Value (USD)**	**Top 3 Export Countries**	**Top 3 Import HS Code**	**Economic Key Drivers**
1	United States	$2.54T	1. Mexico 2. Canada 3. China	1. 8471 2. 8703 3. 2709	High consumer demand, strong automotive and electronics imports, and deeply integrated North American supply chains drive sustained import volumes.
2	China	$2.43T	1. Taiwan 2. South Korea 3. Japan	1. 8542 2. 2709 3. 2601	Manufacturing-led import demand for semiconductors, components, and raw materials supports export processing and technology upgrading.
3	South Africa	$1.73T	1. China 2. India 3. United States	1. 2710 2. 9801 3. 8703	Heavy reliance on imported fuels, machinery, vehicles, and agricultural inputs supports mining, infrastructure, and domestic consumption.
4	Germany	$1.14T	1. Netherlands 2. China 3. Poland	1. 8703 2. 8708 3. 3004	Automotive, machinery, and pharmaceutical imports support advanced manufacturing and intra-EU supply chain integration.
5	Hong Kong	$684B	1. China 2. Taiwan 3. Singapore	1. 8542 2. 7108 3. 8517	Functions as a re-export hub driven by electronics, semiconductors, and high-value goods between China and global markets.

3.1 International Trade Flows

Top 10 Largest Exporting Countries in 2025					
Rank	**Country**	**Export Value (USD)**	**Top 3 Import Destinations**	**Top 3 Export HS Code**	**Economic Key Drivers**
1	China	$3.41T	1. United States 2. Hong Kong 3. Vietnam	1. 8517 2. 8542 3. 8471	Export strength driven by large-scale manufacturing capacity, electronics, and machinery production.
2	South Africa	$1.92T	1. China 2. Germany 3. United States	1. 7110 2. 7108 3. 8703	Supported by natural resources, energy products, and automotive manufacturing across global markets.
3	United States	$1.61T	1. Mexico 2. Canada 3. China	1. 8800 2. 2710 3. 2709	Diversified export base across machinery, chemicals, agriculture, and technology products.
4	Germany	$1.31T	1. United States 2. France 3. Netherlands	1. 8703 2. 3004 3. 8708	Europe's export engine led by automotive manufacturing, machinery, and pharmaceuticals.
5	Netherlands	$639B	1. Germany 2. Belgium 3. France	1. 2710 2. 8471 3. 8517	Major European re-export hub supported by world-class logistics infrastructure.

3.1 International Trade Flows



3.1 International Trade Flows

CHINA DEMAND > WORLD

There are five particularly interesting commodity categories here – and in all of them, China's demand equals or exceeds that of the rest of the world combined.

Cement: 59%
The primary ingredient in concrete is needed for roads, buildings, engineering structures (bridges, dams, etc.), foundations, and in making joints for drains and pipes.

Nickel: 57%
Nickel's primary use is in making stainless steel, which is corrosion resistant. It also gets used in superalloys, batteries, and an array of other uses.

Steel: 50%
Steel is used for pretty much everything, but demand is primarily driven by the construction, machinery, and automotive sectors.

Copper: 50%
Copper is one of the metals driving the green revolution, and it's used in electronics, wiring, construction, machinery, and automotive sectors, primarily.

Coal: 50%
China's winding down coal usage – but when you have 1.4 billion people demanding power, it has to be done with that in mind. China has already hit peak coal, but the fossil fuel does still account for 65% of the country's power generated by source.

3.1 International Trade Flows

The Future of Trade

Now, COVID-19 and a host of other factors are changing the way the world trades. Unexpected shocks, trade wars, the carbon footprint, and labor standards are influencing firms to build more resilient supply chains.

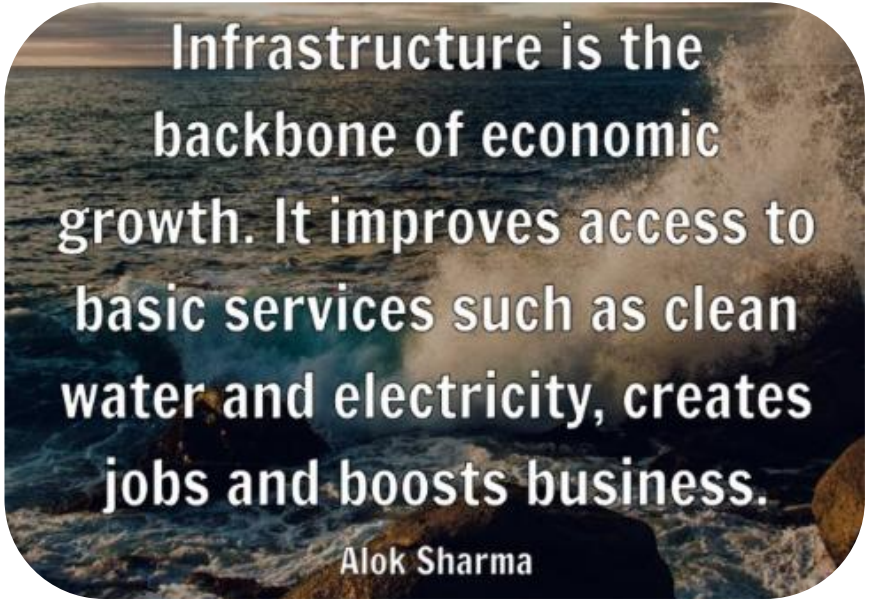
According to The Economist, it's estimated that over the next five years that **16-26%** of exported goods production could shift locations.

What are the potential impacts to transport and supply chains?

LO5

4. Economic Impacts of International Trade on Shipping and Logistics

4.1 Infrastructure Development









4.1 Infrastructure Development







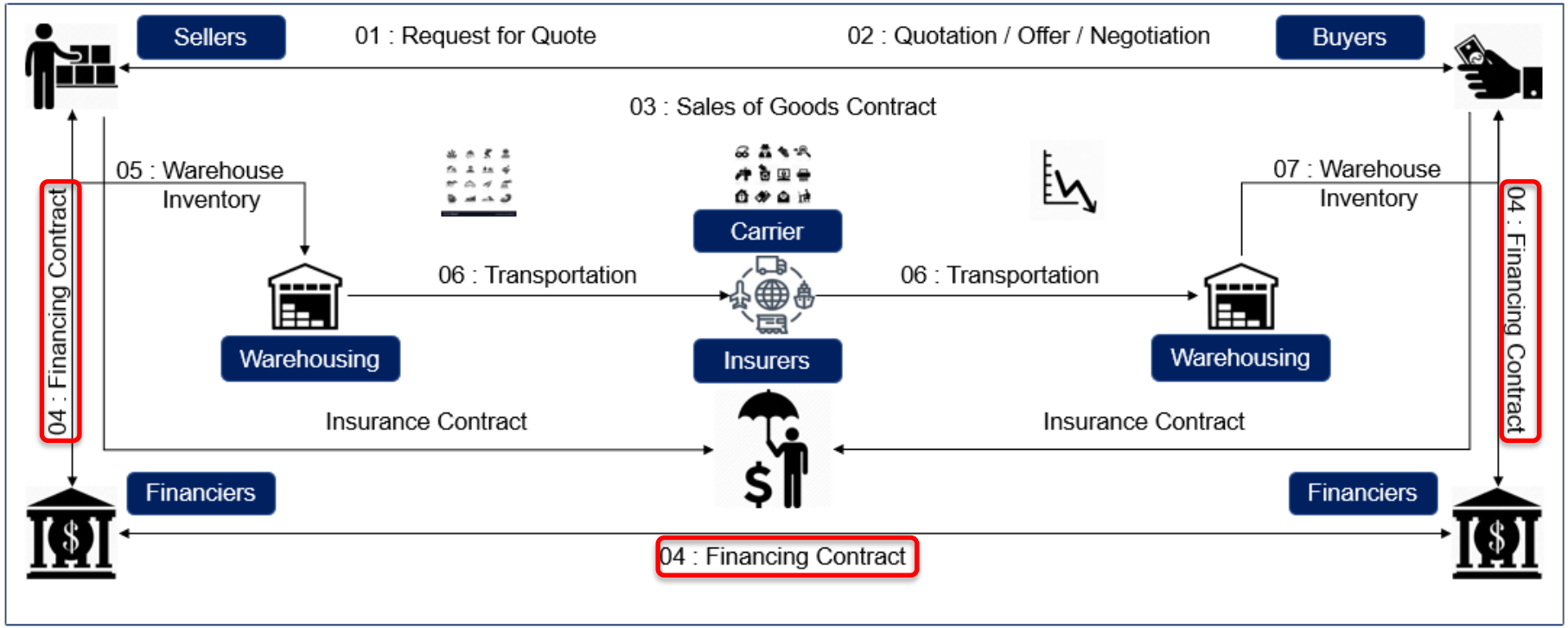


4.2 Exchange Rate Risk

- Refers to "_____ *faced by investors or companies that operate across different countries, in regard to* _____ *gains or losses due to changes in value of one currency in relation to another currency*."



4.2 Exchange Rate Risk



4.2 Exchange Rate Risk

Product, Production & Transportation	- Risks that Sellers have to accept as an integral part of their contractual committments. - Risks from the manufacturing process, especially for customised products. - Risks from the physical transportation process
Commercial (Purchaser)	- Risks of the Buyers' being prevented from performing their contractual obligations
Adverse Business Practices / Political (Country)	- Risks arising from all business practices of a negative nature, including corrupt practices. - Risks from unsolicited Government intervention prohibiting fulfilment of contractual obligations
Currency / Financial	- Risk arising from exchange rate fluctuations - Risk affecting Sellers' liquidity due to Cost of Goods Sold



Can I be paid ASAP? Can I trust Buyers?



Can I delay payments? Will I get the correct goods?

A SG company concluded a deal on 20 July 2024 to import transport equipment from China for 200,000 Chinese Yuan (RMB). They had until 12 September 2024 to make full payment in RMB. Upon checking the rate on **29th July**, it was **1 SGD to 5.40RMB**. The company decided to wait until the end of the payment period as they thought that the rate will go higher. 10 days before payment due date, the rate was **1 SGD to 5.44RMB on 2 September**. **Which rate was more favourable to the company?**





4.2 Exchange Rate Risk and Shipping



Discussion Questions



What is the impact of the currency appreciation or depreciation on maritime firms?



4.3 Impact of Oil Prices

What happened to oil prices in 2016, 2020, 2022 and 2026?





4.3.1 Oil Prices Collapse (2016)

- **Why did oil prices fall so dramatically in 2016?**
  - supply for oil driven by _____ and _____.

  - largest suppliers of oil in the world are the Organization of the Petroleum Exporting Countries (OPEC) – 40% of oil production, followed by Russia and USA.

4.3.1 Oil Prices Collapse (2016)

(i) Political tensions

- significant political tensions amongst oil producing giants and high incentive for governments to use price of oil to manipulate each other's economies.

E.g. *falling price in oil was a way to put economic pressure on Russia for its aggression in Ukraine, also directly related to collapse in Russian Ruble*.

4.3.1 Oil Prices Collapse (2016)

(ii) Technology innovation

- largest factor in drop in prices had been the dramatic increase and anticipation of further increase in US shale oil production.

- historically, OPEC is very aware that US producers become less profitable as prices drop below $60-70 range.

4.3.1 Oil Prices Collapse (2016)

One reason Saudi Arabia has dominated the world oil market is that they have more oil that is easier to produce than anyone else. The Saudis have sweet crude that is unmatched for ease of access, recovery and refining. They can bear to sell at $15/barrel without going bankrupt, something no one has done since the Los Angeles basin almost a hundred years ago. So they are well-positioned for this economic war with oil.

The nominal cost of oil production for various countries is:

Saudi Arabia – $21/bbl

Middle East – $24/bbl

Russia – $26/bbl

Mexico – $42/bbl

S.America/Europe/Eurasia/Africa – $56/bbl

North America – $60/bbl

Gulf Deep Water – $70/bbl

Canada tar sands – $82/bbl

4.3.2 Oil Prices Collapse (2020)

Oil Prices, Stocks Plunge After Saudi Arabia Stuns World With Massive Discounts

March 8, 2020

Oil prices and stock indexes were in freefall Sunday after Saudi Arabia announced a stunning discount in oil prices — of $6 to $8 per barrel — to its customers in Asia, the United States and Europe.

Benchmark Brent crude oil futures dove 30% — the steepest drop since the Gulf War in 1991 — in early trading Sunday night before recovering slightly to a drop of 24%. The benchmark Brent crude oil price fell below $34 per barrel.

The oil price shocks reverberated throughout financial markets. Dow futures dropped more than 1,000 points, S&P 500 futures hit their limits after tumbling 5%, and the key 10-year Treasury note yield fell below 0.5%, a record low.

Saudi Arabia, the world's second-largest producer, this weekend said it will actually boost oil production instead of cutting it to stem falling prices, in a dramatic reversal in policy.

Late last week, Saudi Arabia, the rest of OPEC and Russia failed to agree on production cuts to combat falling prices because of fears that the coronavirus epidemic will halt world economic growth. Oil prices were down more than 30% this year before Sunday's collapse.

China's oil reserves to be boosted amid global crude price rout, Beijing researcher says

Current low prices mean China is likely to top up its oil reserves, but purchases may be limited due to weaker demand and a lack of storage capacity

China, which imported more than 70 per cent of its crude oil requirements in 2019, could take advantage of a price war between Saudi Arabia and Russia

Topic | China economy

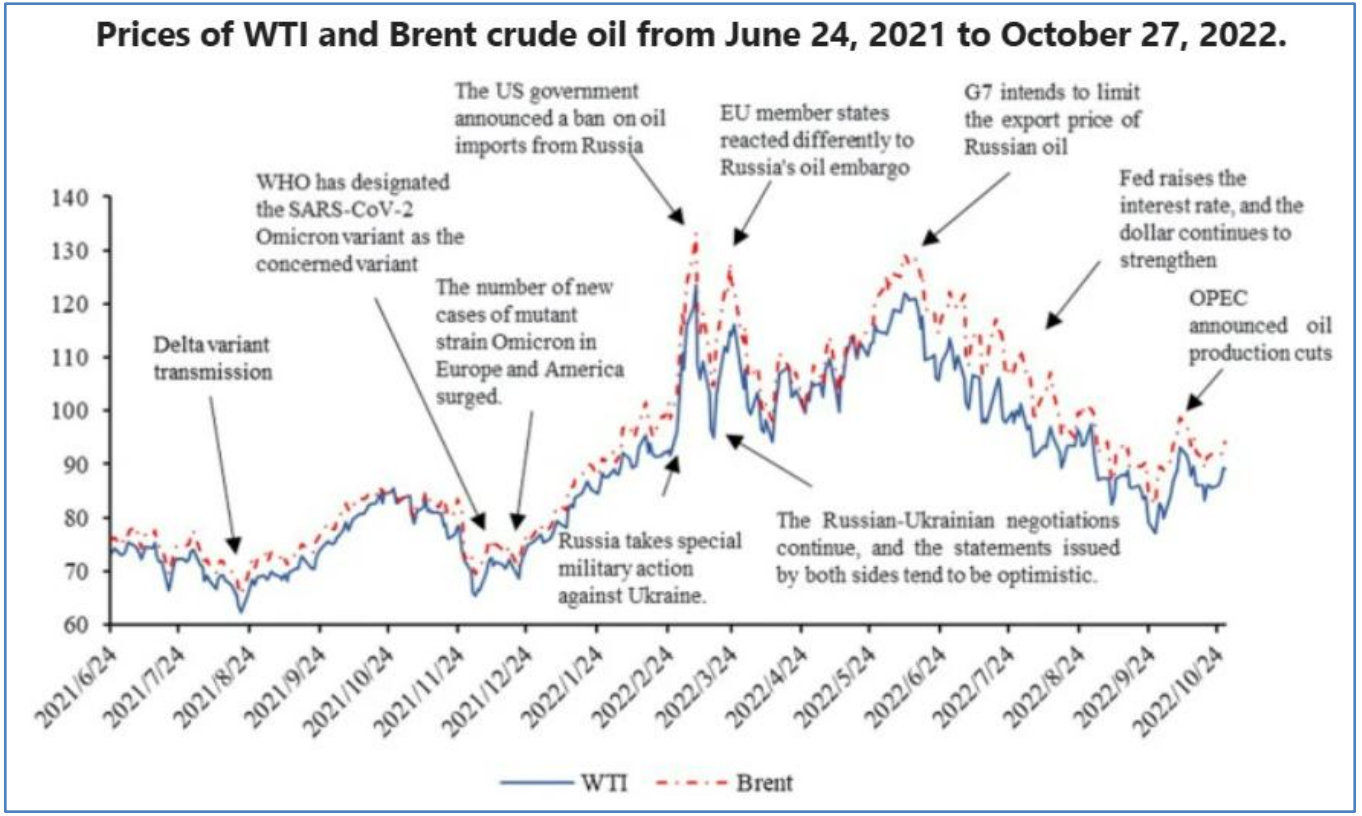


Frank Tang
Published: 6:45pm, 10 Mar, 2020

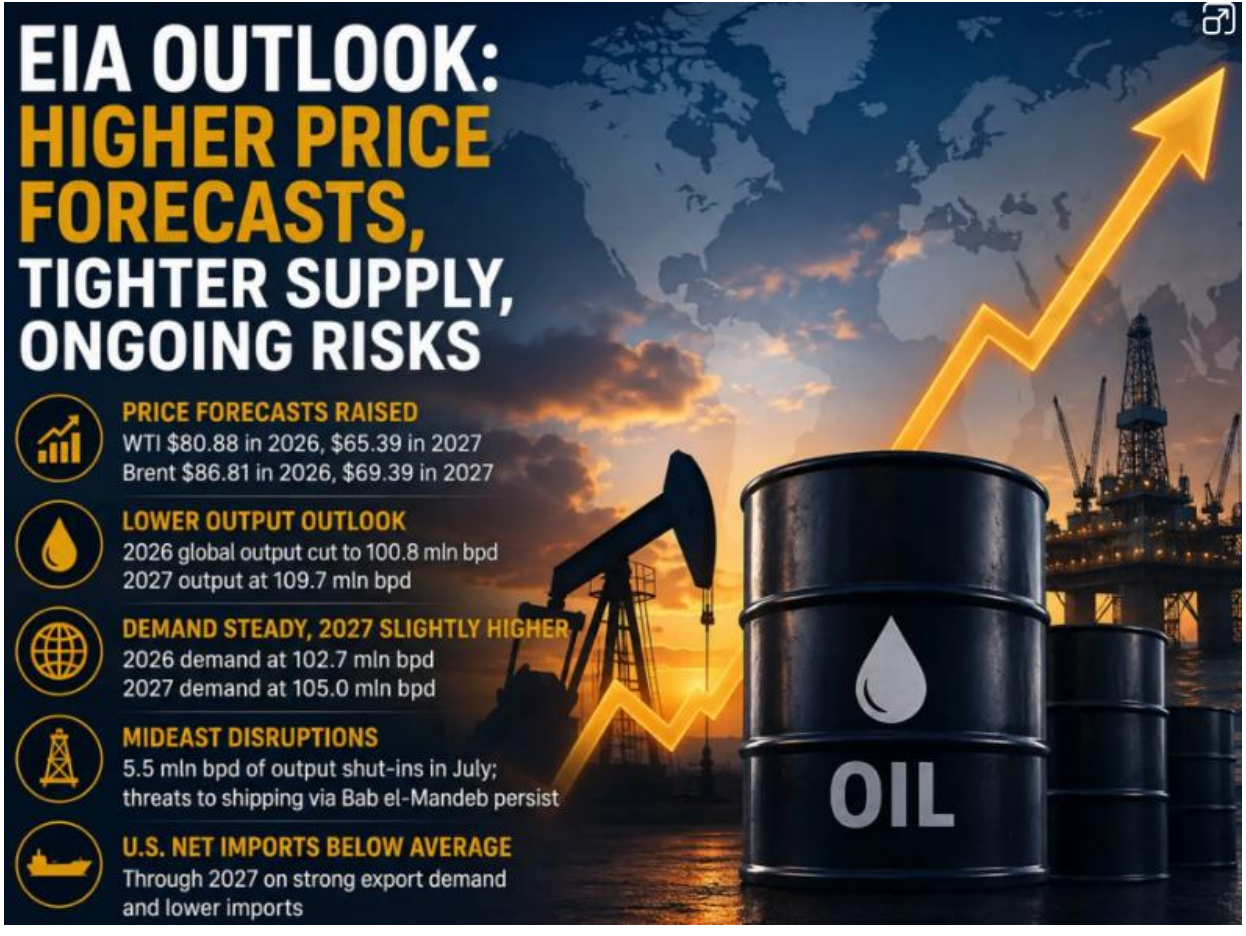
What was the impact on shipping and logistics?

4.3.3 Oil Prices Surge in 2022 and 2026

- **What happened in February 2022?**



4.3.4 Oil Prices (Future?)



GLOBAL CRUDE HIERARCHY:
QUALITY, PRODUCERS, AND BUYERS

Crude oil is not all the same.
Quality determines value, flows, and who buys what.

API GRAVITY
Higher (Lighter) Cleaner

SULFUR CONTENT
Lower (Sweeter) Cleaner

LIGHT SWEET
The Most Flexible Substitute

Produced by the USA, UAE, and Nigeria; primarily imported by Europe and India.

MAJOR PRODUCERS
- USA
- UAE (Murban)
- Nigeria

MAIN IMPORTERS
- Europe
- India
- SE Asia

MEDIUM SOUR
The Asian Refinery Standard

Saudi Arabia, Iran, Russia, and Oman provide this key feedstock for Northeast Asia.

MAJOR PRODUCERS
- Saudi Arabia
- Iran
- Russia
- Oman

MAIN IMPORTERS
- China
- South Korea
- Japan
- India

HEAVY SOUR
Core Feedstock for Complex Refiners

Iraq and Kuwait export these grades mainly to China and India.

MAJOR PRODUCERS
- Iraq
- Kuwait
- Saudi Arabia

MAIN IMPORTERS
- China
- India (72% of Iraqi exports to Asia)

EXTRA-HEAVY
The Hardest to Substitute

Canada and Venezuela produce these; they require specialized upgrading and rarely exported to Asia.

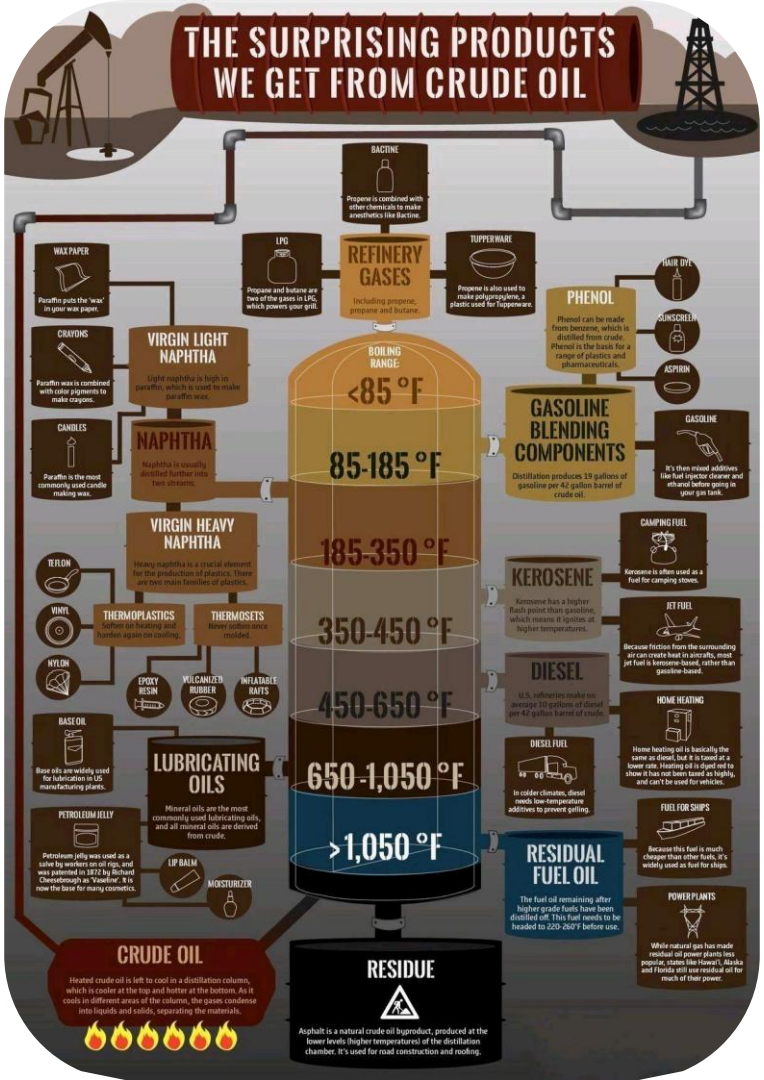
- Canada
- Venezuela

MAIN IMPORTERS
- United States ($101B of $106B Canadian exports)

Lower (Heavier) Denser ↓ **Higher (Sour) More Polluting**

Crude Oil Fractional Distillation




THE SURPRISING PRODUCTS WE GET FROM CRUDE OIL
BACTINE
Propene is combined with other chemicals to make anesthetics like Bactine.
WAX PAPER
Paraffin puts the 'wax' in your wax paper.
LPG
Propane and butane are two of the gases in LPG, which powers your grill.
REFINERY GASES
Including propene, propane and butane.
TUPPERWARE
Propene is also used to make polypropylene, a plastic used for Tupperware.
HAIR DYE
SUNSCREEN
ASPIRIN
PHENOL
Phenol can be made from benzene, which is distilled from crude. Phenol is the basis for a range of plastics and pharmaceuticals.
CRAYONS
Paraffin wax is combined with color pigments to make crayons.
VIRGIN LIGHT NAPHTHA
Light naphtha is high in paraffin, which is used to make paraffin wax.
BOILING RANGE:
<85 °F
85-185 °F
185-350 °F
350-450 °F
450-650 °F
650-1,050 °F
>1,050 °F
GASOLINE BLENDING COMPONENTS
Distillation produces 19 gallons of gasoline per 42 gallon barrel of crude oil.
GASOLINE
It's then mixed additives like fuel injector cleaner and ethanol before going in your gas tank.
CANDLES
Paraffin is the most commonly used candle making wax.
NAPHTHA
Naphtha is usually distilled further into two streams.
VIRGIN HEAVY NAPHTHA
Heavy naphtha is a crucial element for the production of plastics. There are two main families of plastics.
CAMPING FUEL
Kerosene is often used as a fuel for camping stoves.
KEROSENE
Kerosene has a higher flash point than gasoline, which means it ignites at higher temperatures.
JET FUEL
Because friction from the surrounding air can create heat in aircrafts, most jet fuel is kerosene-based, rather than gasoline-based.
TEFLON
VINYL
NYLON
THERMOPLASTICS
Materials that soften and harden again on cooling.
THERMOSETS
Materials that once molded.
EPOXY RESIN
VULCANIZED RUBBER
INFLATABLE RAFTS
DIESEL
U.S. refineries make on average 10 gallons of diesel per 42 gallon barrel of crude.
HOME HEATING
Home heating oil is basically the same as diesel, but it is taxed at a lower rate. Heating oil is dyed red to show it has not been taxed as highly, and can't be used for vehicles.
DIESEL FUEL
In colder climates, diesel needs low-temperature additives to prevent gelling.
BASE OIL
Base oils are widely used for lubrication in US manufacturing plants.
LUBRICATING OILS
Mineral oils are the most commonly used lubricating oils, and all mineral oils are derived from crude.
FUEL FOR SHIPS
Because this fuel is much cheaper than other fuels, it's widely used as fuel for ships.
PETROLEUM JELLY
Petroleum jelly was used as a salve by workers on oil rigs, and was patented in 1872 by Richard Chenseborough as 'Vaseline'. It is now the base for many cosmetics.
LIP BALM
MOISTURIZER
RESIDUAL FUEL OIL
The fuel oil remaining after higher grade fuels have been distilled off. This fuel needs to be heated to 220-260°F before use.
POWER PLANTS
While natural gas has made residual oil power plants less popular, states like Hawai'i, Alaska and Florida still use residual oil for much of their power.
CRUDE OIL
Heated crude oil is left to cool in a distillation column, which is cooler at the top and hotter at the bottom. As it cools in different areas of the column, the gases condense into liquids and solids, separating the materials.
RESIDUE
Asphalt is a natural crude oil byproduct, produced at the lower levels (higher temperatures) of the distillation chamber. It's used for road construction and roofing.


THINGS MADE FROM OIL
This list represents a fraction of the common, everyday products made from petroleum.
paint & brushes
CDs
printer ink
socket covers
extension cords
tape measures
tape
yarn
sporting equipment
cameras
tires
pylons
oil filters
fishing lures
hair dryers
jewelry
makeup
cologne & perfume
Teflon pots & pans
plastic bags
Ziploc
car seats
purses & wallets
wrapping paper
pacifiers
glasses
lamps
toys
inhalers
bandages
garden hose
shoes
boots
lawn chairs
irrigation pipes
umbrellas

4.4 Trade Wars

"A trade war is an _____ often resulting from extreme protectionism in which states raise or create tariffs or other trade barriers against each other in response to trade barriers created by the other party."





Trump Tariff Timeline

First Term: 2018–2020

March 2018
- 25% tariffs on steel and 10% on aluminum impoed globally under Section 332 (national security grounds)
- China targeted with $5B in retaliatory tarifs

April 1018
- $50B in Chinese goods targeted under Section 301 (IP theft).
- China retaliates with equal tariffs.

September 2019
- U.S. imposes tariffs on additional $200B in Chinese goods at 10% rats.

May 2019
- Tariffs on $200B worth of Chinese goods raised to 25%

September 2019
- Tariffs on $112 Bilin consumer goods begin under "List 4A".

January 2020
Phase One Deal signed with China.

China agrees to buy $200B more U.S. goods over 2 years

Second Term: 2025 (As of May)

February 1, 2025
- 25% tariffs on Candan and Mexican imports
- 10% tariffs on all Chinese gods
- Uiberation Day" (Universal 10% tariff comes Into effect

April 2, 2025 ("Liberation Day')
- Universal 10% tariff on aill U.S. imports announced
- Tariffs up to 50% on 57 specific countries

April 9, 2025
- Tariffs on 57 countries delayed by 90 days

April 11, 2025
- U.S. tariffs on Chinese goods spike to 145%
- China responds with 125% tariffs on U.S. exports

May 2, 2025
- De nimimiss removed (no more duty-free imports)
- U.S. tariffs lowered to 30%
- China lowers tariffs to 10%

May 14, 2025
Additional 10% ad valorem tariff imposed on all U.S.-origin goods by China

U.S. Supreme Court halts Trump's sweeping tariffs

The 6-3 ruling nullifies 'reciprocal' tariffs Trump imposed on countries, including India, under an emergency powers law; the court says only Congress has power to impose taxes, including tariffs

Associated Press
WASHINGTON

The U.S. Supreme Court struck down President Donald Trump's far-reaching global tariffs on Friday, handing him a significant loss on an issue crucial to his economic agenda.

The 6-3 decision centres on tariffs imposed under an emergency powers law, including the sweeping "reciprocal" tariffs he levied on nearly every other country, such as India.

It's the first major piece of Mr. Trump's broad agenda to come squarely before the nation's highest court, which he helped shape with the appointments of three conservative jurists in his first term.

The majority found that the Constitution "very clearly" gives Congress the power to impose taxes, which include tariffs. "The Framers did not vest any part of the taxing power in the Executive Branch," Chief Justice John Roberts wrote.

The Treasury had collected more than $133 billion from the import taxes the President has imposed under the emergency powers law as of December, federal data shows.

The tariff decision doesn't stop Mr. Trump from imposing duties under other laws. While those have more limitations on the speed and severity of Mr. Trump's actions, top administration officials have said they expect to keep the tariff framework in place under other authorities.

CONTINUED ON » PAGE 10

Court rebuff

On Friday, the U.S. Supreme Court invalidated President Donald Trump's global tariffs under a 1977 emergency powers law

- **April 2025:** Trump imposes 'reciprocal' tariffs on most countries to address trade deficits and emergencies
- **2025-2026:** Lawsuits filed by states and businesses challenge the tariffs' legality
- **Dec. 2025:** Treasury reports $133 billion collected from the import taxes; companies like Costco seek refunds
- **Feb. 20:** Court rules 6-3; it says only Congress has the constitutional power to impose tariffs



Trump orders temporary 10% global tariff

WASHINGTON

Donald Trump said he would impose a 10% global tariff for 150 days, under Section 122 of the Trade Act of 1974, to replace some duties struck down by the court. He said the new duties would be over and above the existing tariffs. He also said nothing changes on trade deal with India. REUTERS

TARIFF REFUND TIMELINE

AS OF APRIL 2026

A summary of key dates and next steps in the tariff refund process for 2025 green coffee imports.

FEBRUARY 20, 2026

WHAT CHANGED?

The Supreme Court ruled that IEEPA does not authorize the President to impose tariffs, allowing importers to pursue a tariff refund.

APRIL 20, 2026

WHERE THINGS STAND

U.S. Customs and Border Protection began accepting refund claims through the CAPE portal, alongside refiled CBP Form 7501 entries.

APRIL 20, 2026

WHAT WE'RE DOING

Team RNY moved quickly—we identified all affected 2025 shipments and began submitting claims through the CAPE portal.

APRIL 20 – JUNE/JULY, 2026

EXPECTED TIMELINE

CBP has advised a 60–90-day processing window. Refunds will be issued on a rolling basis, and we expect funds to arrive in June or July.

WHEN FUNDS ARE RECEIVED

REFUNDS RETURNED

When refunds are received, we will promptly and fully pass those funds back to you. Exact timing & method will be shared once more information is available.

NO ACTION REQUIRED

WE MANAGE IT

No action is currently required on your end. RNY paid the tariffs to the government, so we are responsible for filing refund claims on your behalf.

US imposes new tariffs of 10% to 12.5% on 60 trading partners over forced labour concerns

Jul 24, 2026



US tariff affects S$9.5 billion of Singapore's domestic exports: Gan Kim Yong

He says none of 60 trading partners fully exempt; any move to secure a lower tariff rate would carry wider compliance, trade implications

Wed, Aug 5, 2026

LO6

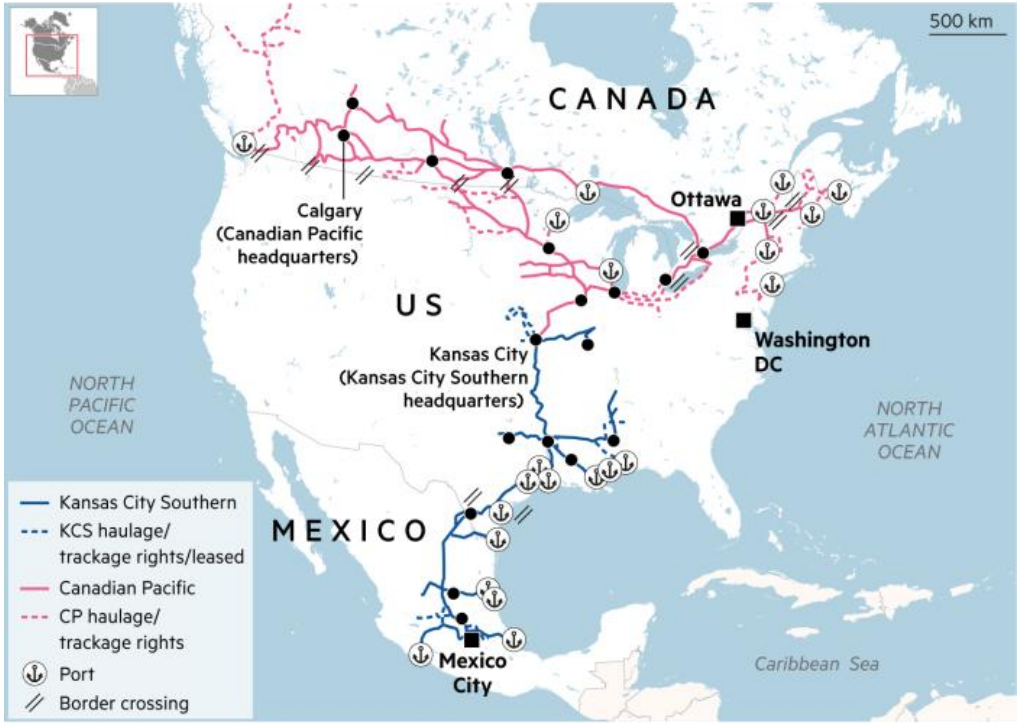
5. Political Impacts of International Trade on Shipping and Logistics

5.1 Multinational Economic Integration

- Free trade areas in which participating nations agree to trade freely amongst themselves, abolishing tariffs and trade restrictions.

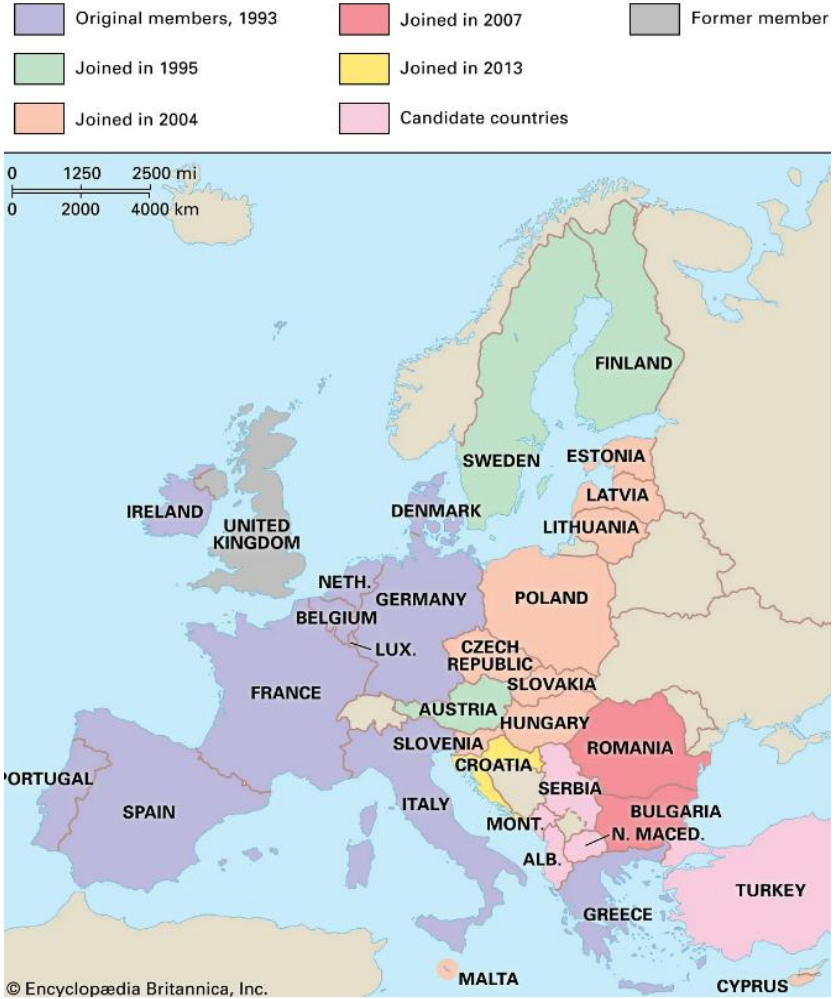
    1. **United States-Mexico-Canada (USMCA) Agreement;**
    2. **European Union (EU)**
    3. **One Belt One Road (OBOR) Initiative**
    4. **African Continental Free Trade Area (AfCTA)**
    5. **Regional Comprehensive Economic Partnership (RCEP)**

North American railroad merger to create 20,000-mile network



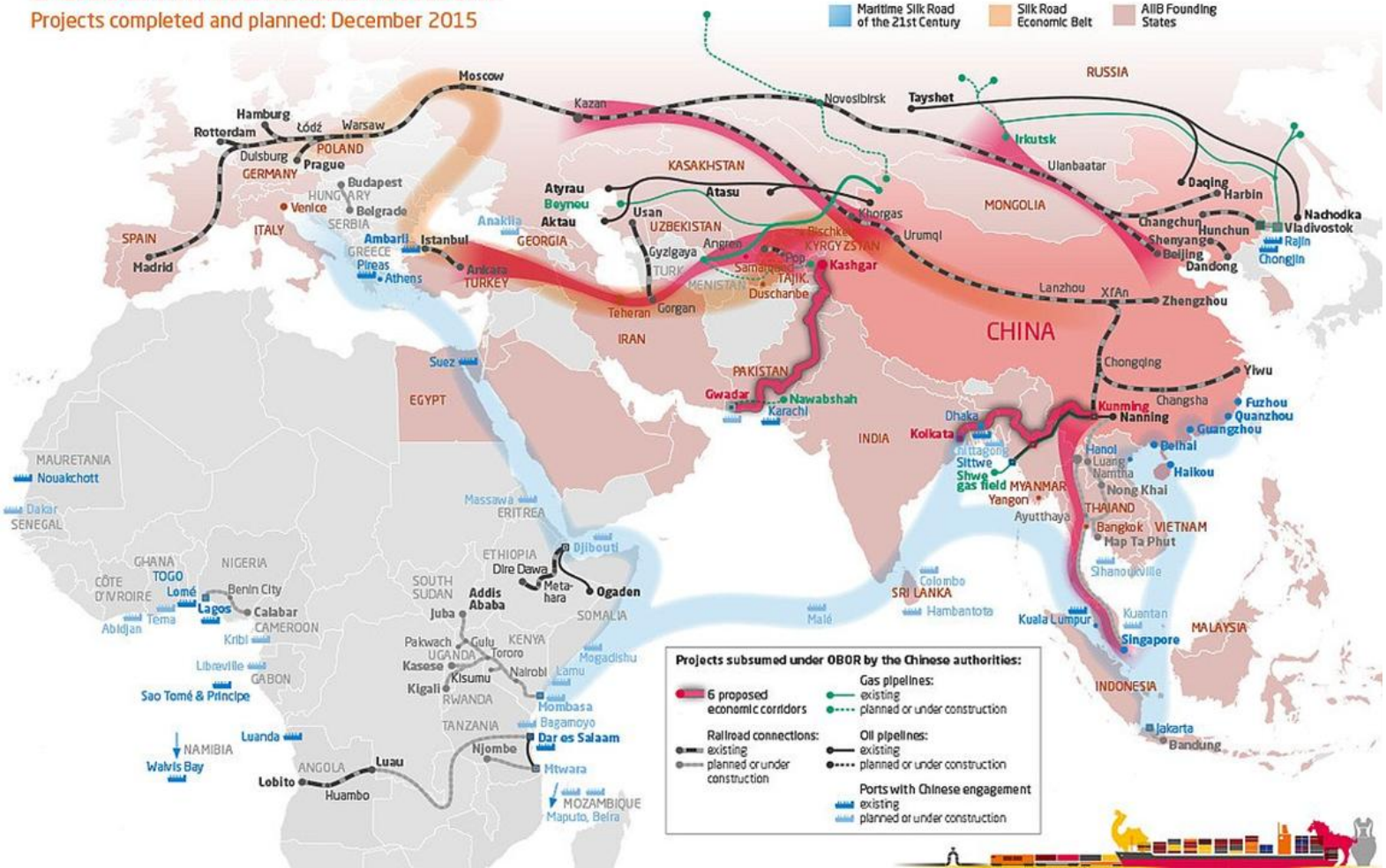
Source: companies
© FT

THE EUROPEAN UNION



One Belt, One Road: With the Silk Road Initiative, China Aims to Build a Global Infrastructure Network

Projects completed and planned: December 2015



African Continental Free Trade Area (AfCFTA)

However, the African Continental Free Trade Area (AfCFTA)—which establishes one of the largest free trade areas in the world with a market of 1.4 billion people and a combined GDP of USD 3.4 trillion could significantly transform Africa's trade and economic landscape.[4] The AfCFTA has been touted as a game-changer owing to its potential to significantly increase investment flows, with their composition and direction shifting away from natural resources towards labor-intensive manufacturing as corporations take advantage of economies of scale as well as competitiveness and productivity gains associated with the drastic reduction in the risk of investing in smaller markets.[5]

World Bank estimates show that the AfCFTA could raise Africa's exports to the rest of the world by 32% by 2035 and catalyze foreign direct investment, which is expected to increase by between 111% and 159%.[6] The AfCFTA has brightened African trade and growth prospects. Leveraging its huge potential to transcend the colonial development model of resource extraction will help to accelerate the diversification of sources of growth and exports, propelling the region into a virtuous cycle of robust economic growth and a broader tax base that will strengthen Africa's foundation of fiscal and debt sustainability.



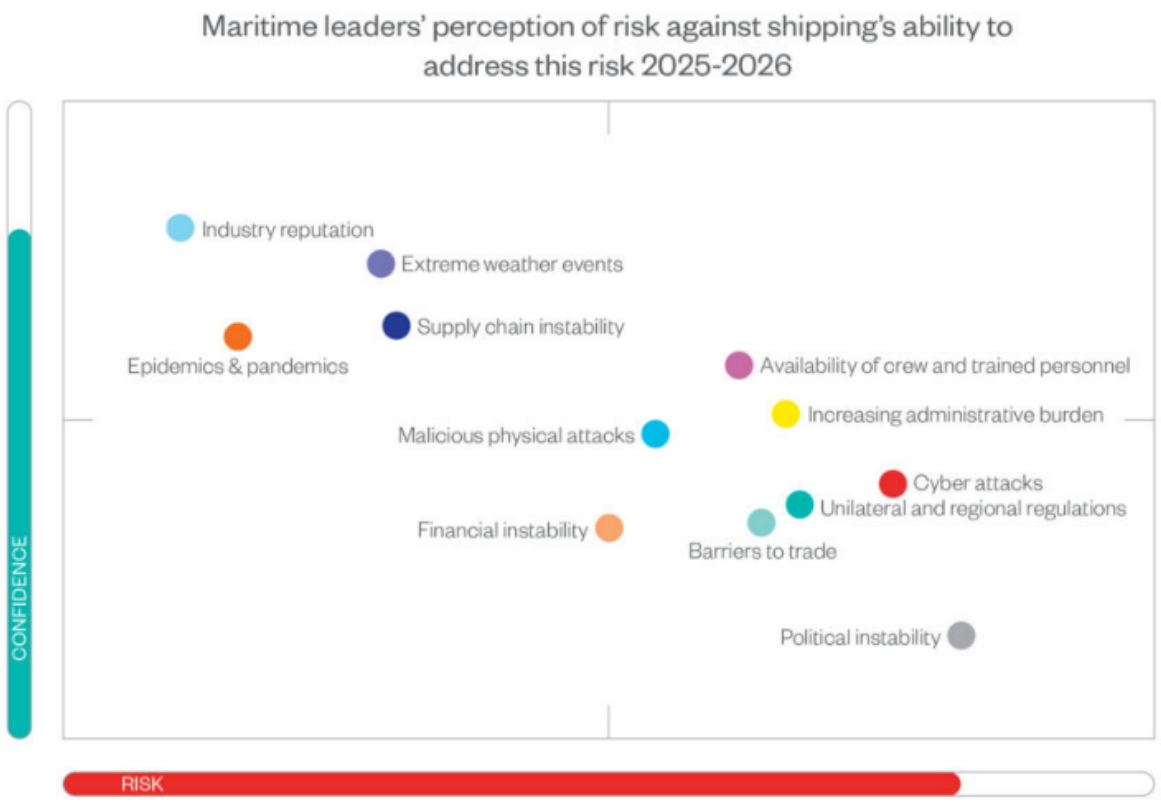


Trade between China and the 14 other Regional Comprehensive Economic Partnership (RCEP) member countries amounted to 12.6 trillion yuan ($1.77 trillion) in 2023, an increase of 5.3 percent compared to the period before the agreement came to effect in 2021, China's General Administration of Customs (GAC) said on Friday.

The positive trade growth showcased once again the tangible benefits that the trade agreement has brought for member countries, despite the global inflation and economic downturn that lingered last year. The RCEP saw its second anniversary on January 1.

China's exports to RCEP member countries reached 6.41 trillion yuan, an increase of 1.1 percentage points to 27 percent in terms of the export share compared with that of 2021. Lithium batteries, auto parts, and flat panel display modules all maintained substantial export growth.

5.2 Geopolitical Tensions



- Political instability a '_____' effect on maritime industry, posing threat to economic volatility and reduced growth.

5.2 Geopolitical Tensions

Global Conflict Tracker



Trump says U.S. has sold more than $13 billion of Venezuela oil since Maduro's capture

PUBLISHED MON, JUL 27 2026•3:15 PM EDT | UPDATED TUE, JUL 28 2026•8:39 AM EDT

How much oil does Venezuela export, and who buys it?

Maduro has long accused the Trump administration of attempting to depose him so the US could gain control of Venezuela's oil riches, pointing to a remark Trump made after the US seized the first oil tanker off Venezuela's coast.

When quizzed by reporters as to what would happen with the tanker and its cargo, he said: "I assume we're going to keep the oil."

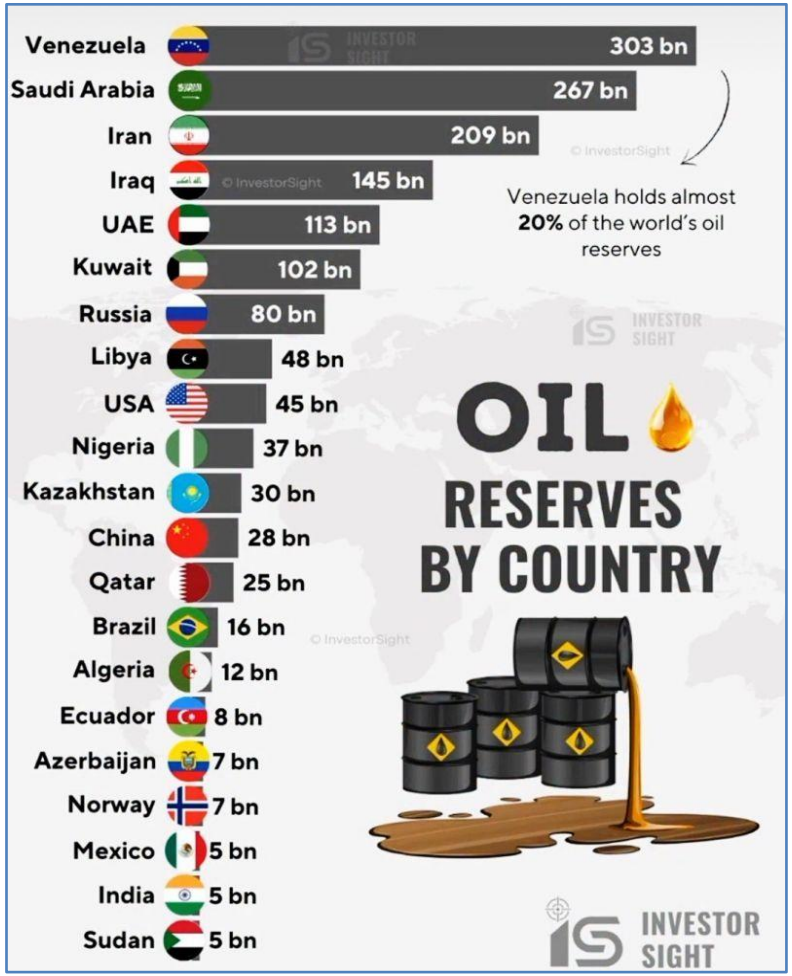
However, US officials have previously denied Venezuela's allegations that moves against Maduro's government were an attempt to secure access to the country's untapped reserves.

Venezuela has the world's largest proven crude oil reserves and profits from the oil sector finance more than half of its government budget.

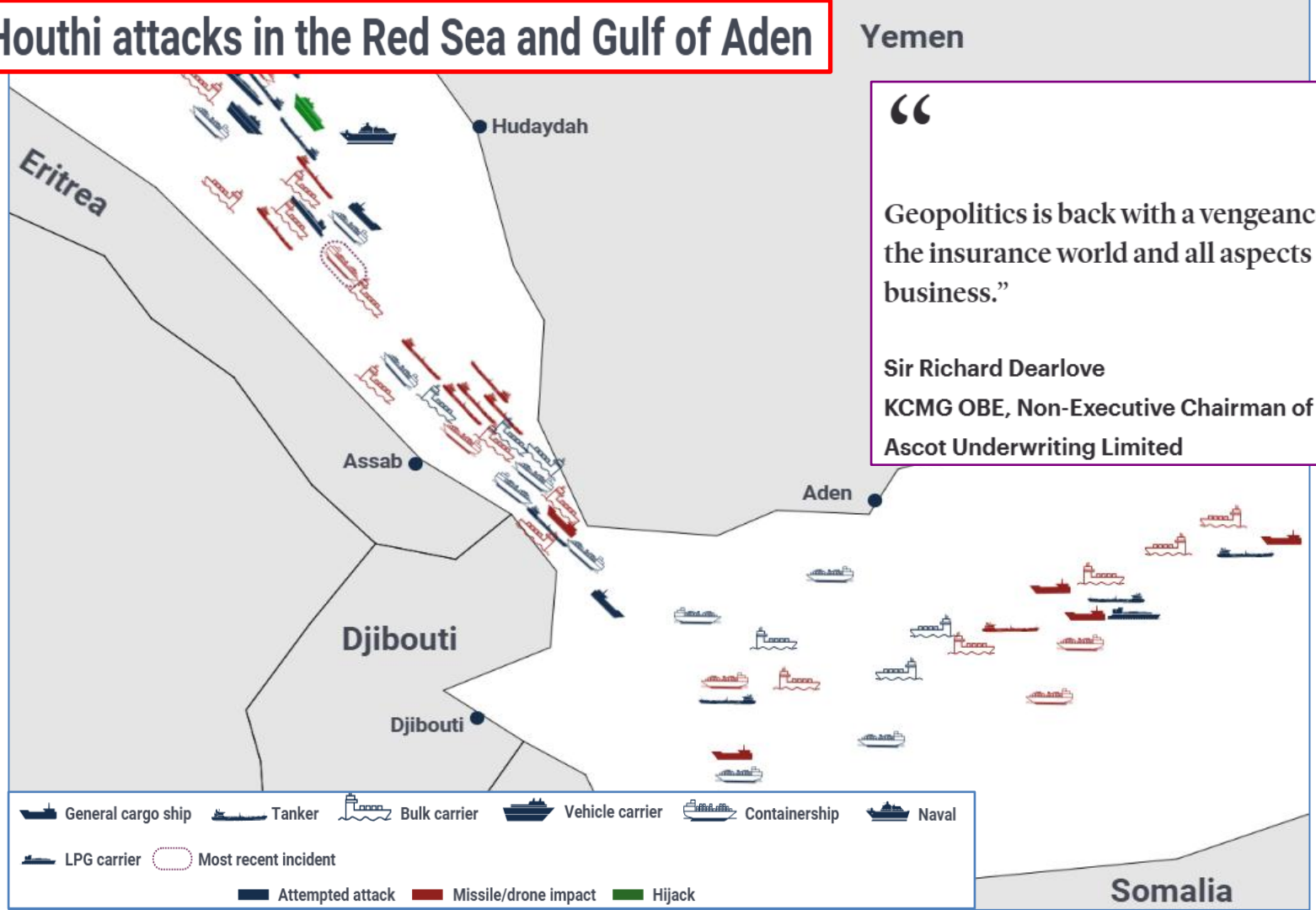
However, its exports have been hit by sanctions and a lack of investment and mismanagement within Venezuela's state-run oil company.

In 2023, Venezuela produced only 0.8% of global crude oil, according to the US Energy Information Administration (EIA).

It currently exports about 900,000 barrels per day and China is by far its biggest buyer.



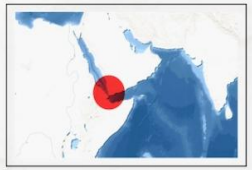
Reported Houthi attacks in the Red Sea and Gulf of Aden



> “
>
> Geopolitics is back with a vengeance in the insurance world and all aspects of business.”
>
> **Sir Richard Dearlove**
> **KCMG OBE, Non-Executive Chairman of Ascot Underwriting Limited**

Houthi Attacks in the Red Sea

Houthi attacks in the **Bab el-Mandeb Strait** have disrupted key maritime routes, posing a growing threat to the international economy.



Suez Canal

Israel

Red Sea

Yemen

Djibouti

Bab el-Mandeb Strait

Foreign military bases

Houthi movement

The Iranian-backed Houthi movement is a Shia Islamist organization based in Yemen. Its militants have used drones and missiles to target **commercial ships en route to Israel.**

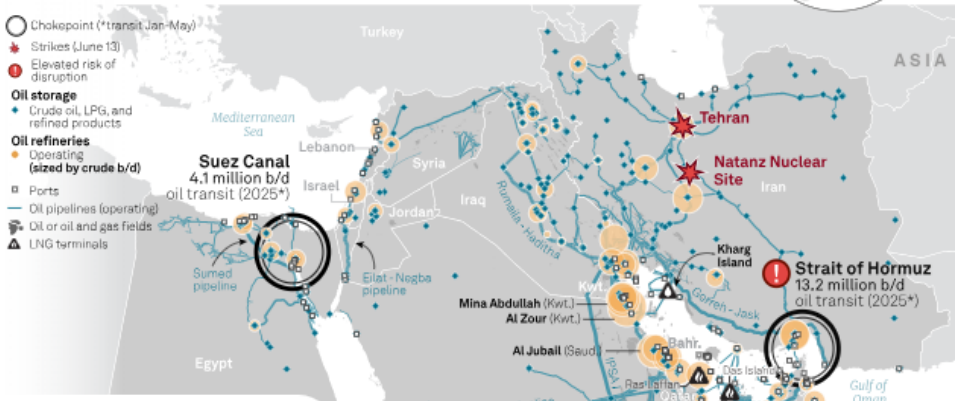
The following ocean carriers have **diverted their scheduled routes through the area.**

msc · Hapag-Lloyd · YANG MING · CMA CGM · MAERSK · EVERGREEN

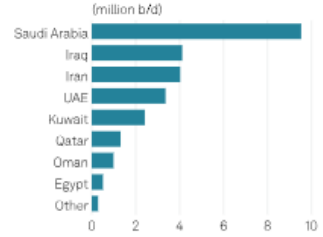
Israel-Iran clash puts oil market, trade routes on edge

Markets are bracing for volatility and potential supply shocks as the latest Israel-Iran conflict threatens uncertain consequences. Iran's oil infrastructure remains so far untouched by Israel's wide-ranging attack on its nuclear program but the risk of disruptions remains due to potential Iranian retaliation and regional escalation.

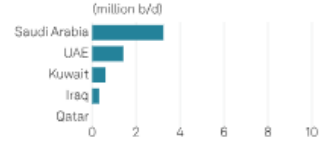




Average crude output, H1 2025



Spare production capacity, June 2025

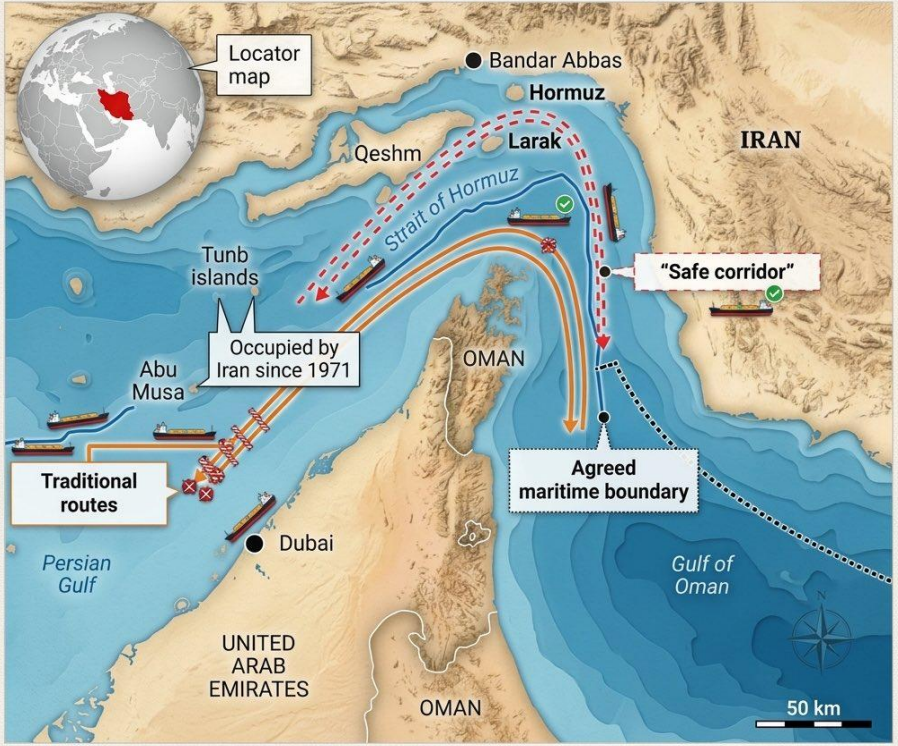


12.9 million b/d
Refining capacity
13% of global capacity

26.6 million b/d
Crude and condensate production H1 2025
32% of global production

Blockade of the Strait of Hormuz: Iran is selectively allowing ships to pass

Only selected ships are permitted to use the Iran-controlled 'safe corridor' between the islands of Larak and Hormuz



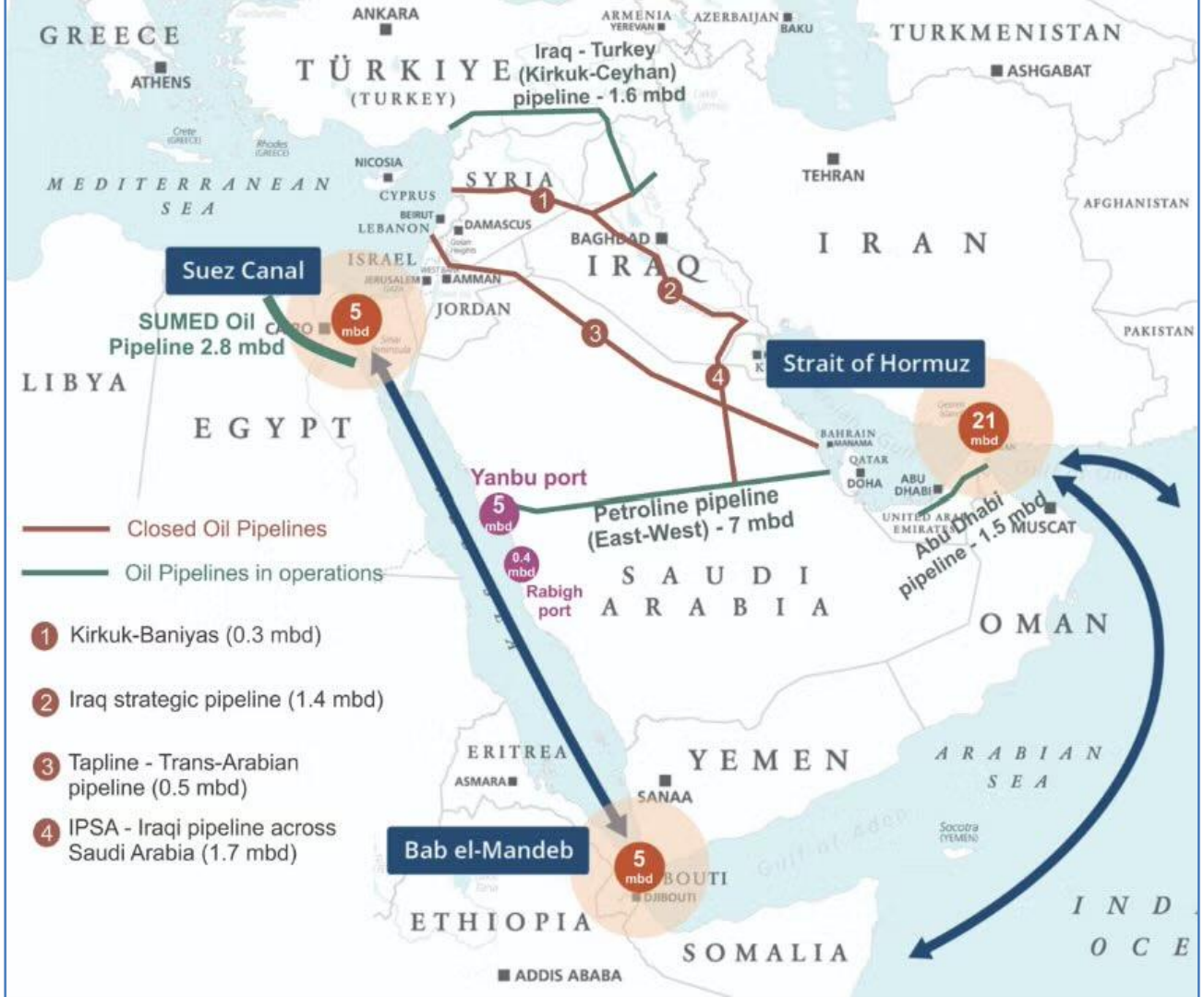
Hormuz Under Siege

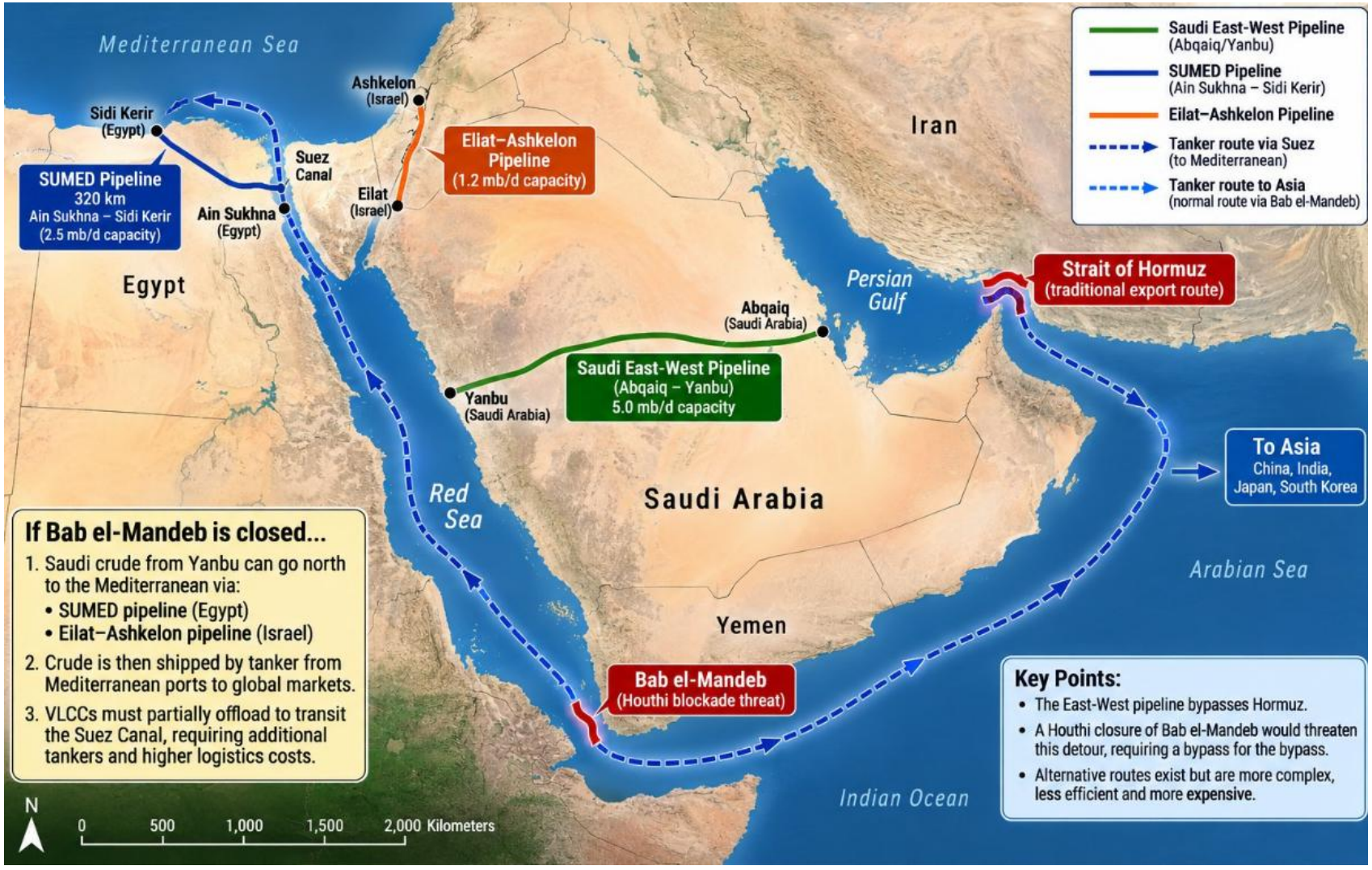
How War Disrupted the World's Most Critical Oil Chokepoint



Tanker Transits (7-Day Moving Average)

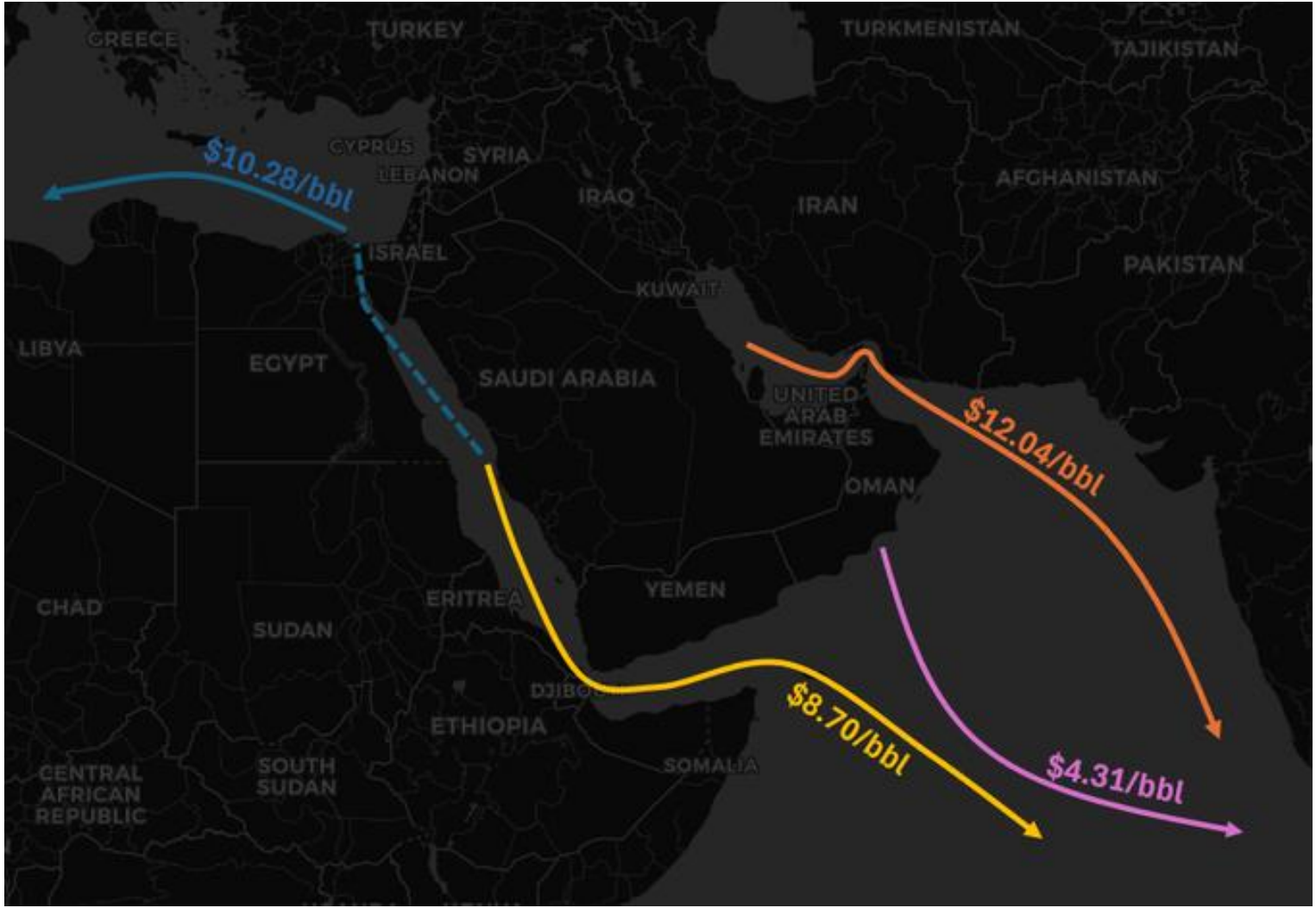



GREECE
ATHENS
ANKARA
TÜRKIYE (TURKEY)
ARMENIA YEREVAN
AZERBAIJAN BAKU
TURKMENISTAN
ASHGABAT
Iraq - Turkey (Kirkuk-Ceyhan) pipeline - 1.6 mbd
MEDITERRANEAN SEA
NICOSIA
CYPRUS
SYRIA
BEIRUT
LEBANON
DAMASCUS
BAGHDAD
IRAQ
TEHRAN
IRAN
AFGHANISTAN
ISRAEL
JERUSALEM
AMMAN
JORDAN
Suez Canal
SUMED Oil Pipeline 2.8 mbd
5 mbd
LIBYA
EGYPT
Strait of Hormuz
PAKISTAN
21 mbd
BAHRAIN MANAMA
QATAR DOHA
ABU DHABI
UNITED ARAB EMIRATES
Yanbu port
5 mbd
Petroline pipeline (East-West) - 7 mbd
Abu Dhabi pipeline - 1.5 mbd
MUSCAT
0.4 mbd
Rabigh port
SAUDI ARABIA
OMAN
Closed Oil Pipelines
Oil Pipelines in operations
1 Kirkuk-Baniyas (0.3 mbd)
2 Iraq strategic pipeline (1.4 mbd)
3 Tapline - Trans-Arabian pipeline (0.5 mbd)
4 IPSA - Iraqi pipeline across Saudi Arabia (1.7 mbd)
ERITREA
ASMARA
YEMEN
SANAA
ARABIAN SEA
Bab el-Mandeb
5 mbd
DJIBOUTI
ETHIOPIA
SOMALIA
ADDIS ABABA


Mediterranean Sea
Ashkelon (Israel)
Sidi Kerir (Egypt)
Suez Canal
Eliat–Ashkelon Pipeline (1.2 mb/d capacity)
SUMED Pipeline 320 km Ain Sukhna – Sidi Kerir (2.5 mb/d capacity)
Ain Sukhna (Egypt)
Eilat (Israel)
Egypt
Iran
Persian Gulf
Strait of Hormuz (traditional export route)
Abqaiq (Saudi Arabia)
Saudi East-West Pipeline (Abqaiq – Yanbu) 5.0 mb/d capacity
Yanbu (Saudi Arabia)
Red Sea
Saudi Arabia
To Asia China, India, Japan, South Korea
Arabian Sea
Yemen
Bab el-Mandeb (Houthi blockade threat)
Indian Ocean
Saudi East-West Pipeline (Abqaiq/Yanbu)
SUMED Pipeline (Ain Sukhna – Sidi Kerir)
Eilat–Ashkelon Pipeline
Tanker route via Suez (to Mediterranean)
Tanker route to Asia (normal route via Bab el-Mandeb)
If Bab el-Mandeb is closed...
1. Saudi crude from Yanbu can go north to the Mediterranean via:
• SUMED pipeline (Egypt)
• Eilat–Ashkelon pipeline (Israel)
2. Crude is then shipped by tanker from Mediterranean ports to global markets.
3. VLCCs must partially offload to transit the Suez Canal, requiring additional tankers and higher logistics costs.
Key Points:
• The East-West pipeline bypasses Hormuz.
• A Houthi closure of Bab el-Mandeb would threaten this detour, requiring a bypass for the bypass.
• Alternative routes exist but are more complex, less efficient and more expensive.
N
0 500 1,000 1,500 2,000 Kilometers

THE SAUDI CRUDE ROUTE TO ASIA




GREECE
TURKEY
TURKMENISTAN
TAJIKISTAN
CYPRUS
SYRIA
LEBANON
$10.28/bbl
IRAQ
IRAN
AFGHANISTAN
ISRAEL
PAKISTAN
KUWAIT
LIBYA
EGYPT
SAUDI ARABIA
UNITED ARAB EMIRATES
$12.04/bbl
OMAN
YEMEN
CHAD
ERITREA
SUDAN
DJIBOUTI
ETHIOPIA
$8.70/bbl
$4.31/bbl
SOMALIA
CENTRAL AFRICAN REPUBLIC
SOUTH SUDAN

Ceuta crisis fuels Israel conspiracy theories



Tanker boom of 2026, now second-best in history, shows no signs of abating

- *VLCC rates holding firm at over $100,000 per day; suezmaxes just below $100,000 per day with exception of Black Sea-Med route, which has skyrocketed to $337,728 per day*
- *Aframax rates are unusually strong, in some cases topping suezmax rates. Indexes for Carib-US Gulf, North Sea-Europe and US Gulf-Europe are all above $100,000 per day*
- *Current tanker boom has been exceeded only once before, by 2000s supercycle*

03 Aug 2026 | **ANALYSIS**



by Greg Miller

@GMjournalist | greg.miller@lloydslistintelligence.com

Today's tanker market doesn't yet deserve the 'best ever' moniker but it's making a run for it. The 2000s supercycle, the best ever, was a demand-driven boom that lasted for years. This time it's a vessel supply-driven boom caused by geopolitical disruptions

Greek bulker hit in Strait of Hormuz

Minoan Pioneer was struck while using the southern, Oman-controlled route

04 Aug 2026 | **NEWS**



by Joshua Minchin

@JoshMinchin | joshua.minchin@lloydslistintelligence.com

The attack resulted in an electrical blackout on board, with one crewmember missing as a result

Hormuz attacks continue as Trump claims more talks to start with Iran

Vessels were warned by Iranian forces over radio while using the Omani route

03 Aug 2026 | **NEWS**



by Joshua Minchin

@JoshMinchin | joshua.minchin@lloydslistintelligence.com

One ship was struck by a projectile while transiting the Strait of Hormuz through the southern, Oman-controlled traffic route

Renewed Houthi attacks will spark contract disputes over Cape of Good Hope rerouting costs

- *Some owners already diverting, Clyde & Co confirms*
- *Decisions need to be based on individual risk assessments*
- *Check charterparty wording to see who foots bill*

03 Aug 2026 | **NEWS**



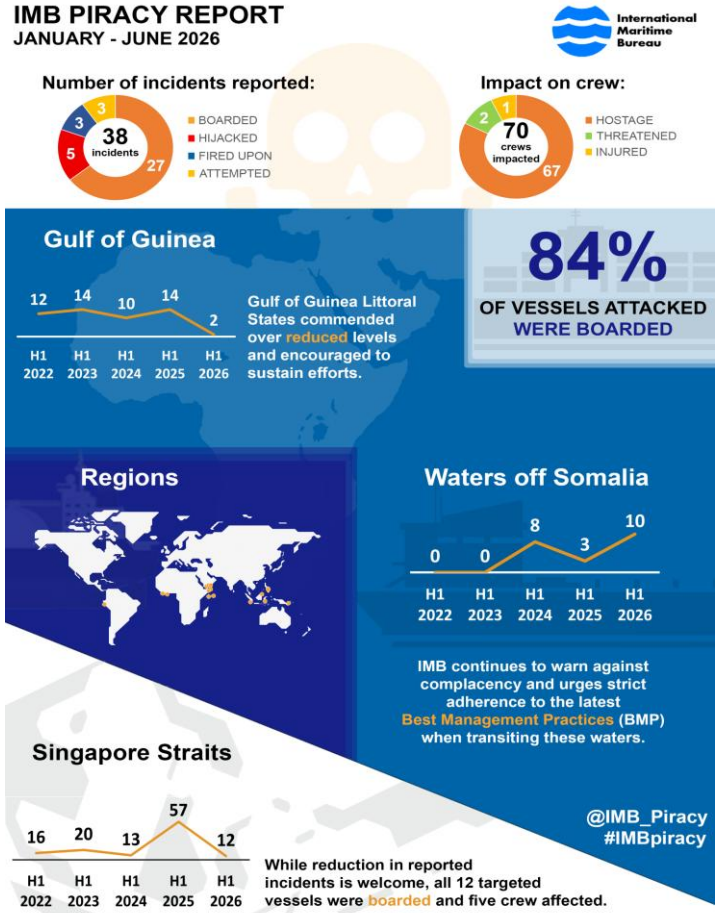
by David Osler

@finance_LL | david.osler@lloydslistintelligence.com

It pays to know the difference between acts of an armed Islamist faction and acts of God

5.3 Maritime Security and Piracy

- Political instability poses challenges to maritime security > coastal regions, creating conditions for piracy and armed robbery at sea.
- Undermine ability of states to enforce maritime laws and regulations.
- Leads to limited resources and corruption.



PIRACY AND ARMED ROBBERY AGAINST SHIPS

ICC INTERNATIONAL MARITIME BUREAU



TOTAL INCIDENTS PER REGION
JANUARY - JUNE 2025

Region	Total Incidents Reported
SE Asia	65
Africa (Gulf of Guinea)	12
Indian Sub Continent	5
Africa (off Somalia)	3
Rest of the world	5

PIRACY AND ARMED ROBBERY AGAINST SHIPS

ICC INTERNATIONAL MARITIME BUREAU



TOTAL INCIDENTS PER REGION
JANUARY - JUNE 2026

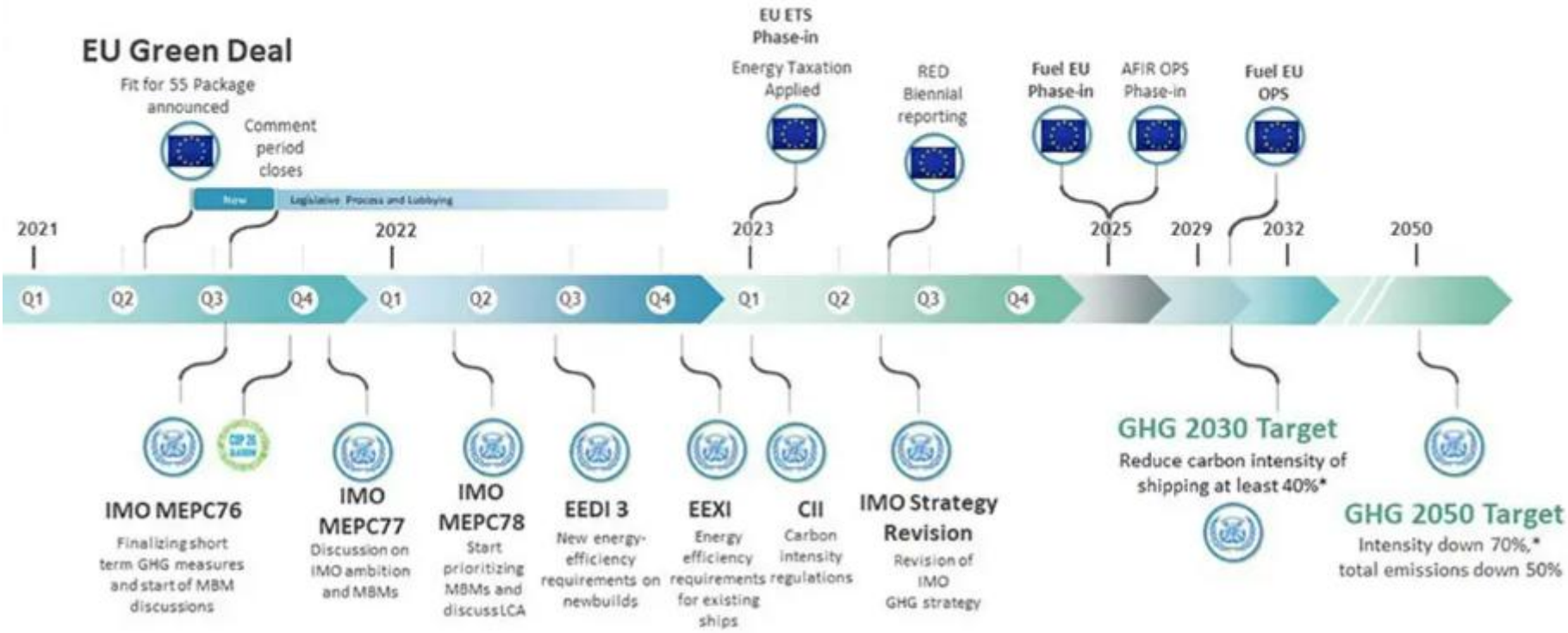
Region	Total Incidents Reported
SE Asia	24
Africa (off Somalia)	10
Africa (Gulf of Guinea)	2
Americas	1
Rest of the World	1

5.4 Regulatory Frameworks and Compliance

- Political decisions can influence a lot around maritime regulations and compliance.
- Government legislation can help to ensure safety, security, environmental protection and fair competition within the industry.
- **Where are all the international maritime conventions and treaties agreed upon?**

The regulatory timeline for EU and IMO overlap

World Shipping Council



China tensions could impact ship-leasing deals

Trade relationship with West under strain after US and EU impose tariffs, with potential for knock-on consequences, lawyer warns

10 July David Osler

RISING trade tensions between China and the West could have a detrimental impact on the ability of European shipowners to obtain sale and leaseback deals from Chinese banks, a lawyer specialising in the field has warned.

Over the past decade, Asian lessors have increasingly stepped into the gap left by the withdrawal of European banks from ship finance since the industry downturn in the early 2010s, said Rajveer Sehmi, legal director at Hill Dickinson.

Chinese banks now legally own around 40% of the world fleet, including much of the tonnage operated by EU owners, according to industry bodies such as the European Community Shipowners' Associations.

But recent decisions by the US and the EU to impose hefty tariffs on Chinese electric vehicles have laid bare the strains on commercial relationships.

The climate is expected to worsen if Donald Trump is re-elected as president of the US later this year.

The potential worst-case scenario is the imposition of sanctions on China in response to its posture on the South China Sea and Taiwan, especially if the financial institutions doing the lending are targeted.

Ripples from Brussels' EV tariffs will be reaching shipping

Tariffs on Chinese EV imports are expected to have limited short-term impact on car carrier market and may even increase certain shipping demands, if past experience still counts

14 Jun 2024 | **OPINION**



by Cichen Shen

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If Chinese EVs are suppressed today, ships built there could be next, and even the green fuels it produces further down the road

EU to set tariffs on Chinese biodiesel imports in anti-dumping probe, says board

European Biodiesel Board said EC announced it will impose provisional anti-dumping duties on Chinese HVO and FAME imports in four weeks' time, ranging between 12.8% and 36.4%.

Published 4 days ago on July 22, 2024

Summary

Summary

- International trade heavily influences shipping activity.
- International trade occurs due to factors such as growing demand in new markets, demand for foreign products and changing practices in shipping logistics.
- China will still be a main importer of raw materials.
- There are two main international trade theories categories – classical country-based and modern firm-based.

Summary

- Economic impacts include infrastructure development, exchange rate risk, oil prices and trade wars.
- Political impacts include multinational economic integration, geopolitical tensions, maritime security and piracy, and regulatory frameworks and compliance.